Welcome & Thank You

Thank you for choosing to invest your educational dollars with us. The Reach Returns team takes seriously its mission to provide high-quality real estate seminars and educational products.

Wisdom for Wealth is my signature real estate investment course. It includes all the education you need to get started investing or to improve your existing holdings. The course covers the following topics to help you build a solid foundation for creating your real estate portfolio:

- A Mindset for Success
- Discerning What You Want
- Formulating a Plan to Achieve Your Goals
- Building a Winning Team
- Acting Deliberately
- Recognizing Value
- Finding the Right Property
- Negotiating with Sellers
- Writing the Deal to Meet the Seller's Needs and Yours

You will learn how to create monetary and life wealth through real estate, including cash producing strategies like wholesaling, rehabbing, and options. You will also learn techniques that produce cash flow and build long-term wealth and freedom.

Our goal is to make you proficient and self-sufficient. We teach what Greg's mentors taught him—solid, enduring principles. There is no magic to the process. It takes professional commitment to education and dogged persistence. Our job is to help you understand these core principles, and how to apply them. Each real estate transaction is unique; there is no "one size fits all" formula to apply to every situation. The core element to success is customizing a deal to meet the seller's needs, as well as your own. Learn and apply the principles we teach and you will grow wealthy financially, but more importantly, wealthy in the vitality of your life.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

While this book is a great study guide, we hope you will consider enrolling in an upcoming Power Players Intensive, Reach Returns' premiere training program. During the three-and-a-half-day intensive seminar, Greg will lead discussions and then follow up with practical hands-on exercises. This training methodology has led to an incredibly high success rate among Power Player students. Many have reported huge success in defining and achieving their personal goals and improving their relationships. Alumni of the Power Player Intensive program have access to the full network of Power Player students through exclusive gatherings and online forums. Power Players Intensive is world class education.

Congratulations! We are excited that you have decided to take this incredible journey with us.

Welcome aboard!

Greg & The Reach Returns Team

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

About Greg Pinneo

Gregory Pinneo

Gregory Pinneo is a Northwest native and a graduate of the University of Washington. For more than thirty years Greg has been a full-time real estate investor and has become a recognized industry expert in acquisition, finance, negotiation, and property management. Greg's personal portfolio has included the purchase of more than 500 units in over 200 different buildings. In addition, he has conducted more than 500 brokerage negotiations. Greg has created a system that in more than thirty years of investing has never lost him money on a real estate transaction.

While actively engaged in growing both his business and his real estate portfolio, Greg taught real estate investing for Seattle Pacific University for four years. As an educator and ad hoc advisor, Greg teaches strategies for success, effective techniques, and productive practices. He shares lessons learned that have proven enormously valuable throughout his career.

Greg has a passion for giving back to the profession and people in his life. He has been a keynote speaker for local high schools, universities, and business and community organizations. In these engagements he gives entrepreneurial insights, motivational speeches, and commencement addresses.

Greg's diverse experience and willingness to share his full life journey sets the stage for a very unique message, including the highlights of creating an extraordinary entrepreneurial empire, the adventure of summiting some of the world's highest mountain peaks, and the challenge of

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

spending several months in a prison cell. Greg's life story is one that entrepreneurs and students alike find unforgettable. He hopes that by communicating his life lessons he can help others avoid pitfalls and face their personal challenges with ethics, hope, and encouragement.

Greg is highly sought-after as a professional speaker before real estate organizations and other private entities throughout the United States, Canada, Mexico, and the Caribbean. He is well respected for his experience, professionalism, and incredible ability to teach, motivate, and inspire. A natural entrepreneur and motivator, Greg gives his audiences a perspective on developing a life-fulfilling strategy for health and happiness while achieving personal satisfaction and wealth. His students and seminar participants remain in touch and look to Greg as a mentor and friend.

Greg and Shauna own an equestrian center, Trilogy Farm in Monroe, Washington, and are in the final stages of constructing a waterfront home in Edmonds. They also love spending time at a second residence in Arizona. Greg is passionate about his wife and five children, the outdoors, flying, scuba diving, golf, and good wine. He and Shauna are active supporters of Habitat for Humanity and Medical Teams International.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Table of Contents

Welcome & Thank You **1**
A Little About Greg **3**
Table of Contents **5**
How I Got My Start **10**
Ordinary to Extraordinary **11**
Mentors – The Key to an Extraordinary Life 11
The Why Question 11
Ignorance Was Bliss 11
The "Moment"—A House for the Price of a Happy Meal 12
Life Changed 12
Recognizing Excellent Properties or "Birds" **14**
The Other Agent in the Office 14
I Decide to Wait for Him 14
Plan B 15
It's About People 16
Bird Watching – Having Vision and Being Educated 16
Tom's Final Lesson – Life Balance 17
Developing Lines of Credit **18**
Start Where You Are 18
Putting on My Best Jeans 18
And Then the Next Bank 18
Fostering the Relationship 19
Mindset **20**
My Version of Real Estate is About People 20
Mindset & Tools 20
The Arena 21
Redefining Failure 22
What's Your Why? 22
What Do You Want? **24**
Your Financial Starting Point **25**
Overview 25
Income 25
Cash Assets 26
Other Assets 26
Retirement Assets 27
Real Estate Assets & Debt 27
Vehicles 28
Lines of Credit 28
Other Consumer Debt 28
Your Financial Snapshot Summary 29
Speculator vs. Investor vs. Oz **30**
Oz 30

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

East-West Syndrome **32**
It's Hammered 32
Heading East 32
Where's the Lawn? 33
One Minute Farther? East 33
East-West Syndrome—The Numbers **35**
Closing Costs: $ 10,000 35
Questions of Proposition **36**
Most People Don't Ask 36
What is a Question of Proposition? 36
The $10,000 Question of Proposition 36
117 Unlisted Properties 37
Developing Your Team **39**
This Is a Team Sport **40**
Title Company Representative 40
A Tale of Three Bankers 41
Informants 41
Appraisers 43
City Officials 43
Investors 44
Escrow Agents (Or Attorney, Depending on Your State) 46
Contractors 47
Certified Public Accountant & Attorney 50
Top 12 Questions to Ask Your Accountant **51**
Test Your Accountant 51
Why are These Questions Important? 52
The Three Pillars: Location **55**
The Simplest Definition for Great Investment Real Estate 55
But Also Not So Simple 55
Toyotas, Not Jaguars 56
Oz 56
Searching by Location—How I Hunt for Investment Property 57
The Other Principles 59
The Three Pillars: Terms **60**
A Study in Itself 60
The Most Important Term Is Price 60
The Least Important Term Is Price 60
Foundations for Freedom 60
The Three Pillars: Expandability **61**
The Third Leg of the Triple Crown 61
Changing the Picture 61
Keep Your Strategy in Mind 61
Potential Suggestions 62
Use Expandability to Evaluate Your Purchases 63
Case Study: Single Family Residence **64**
Before We Can Help You, You Need to Get Rid of This Stuff 64
The Answer is Right on the Kitchen Table 65
We Write Up the Deal 65
How Did I Close That? 66
What Did I Make? 66
What About You? 66

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Case Study: Single Family Numbers **68**
Case Study: In City Six-Plex **69**
Two Sellers With Different Needs 69
What a Gem! 70
This Is a 404 Level Deal 70
Now I've Planted a Field 71
Adding Expandability to the Mix 71
Case Study: In City Six-Plex Numbers **73**
Case Study: In City Eleven Unit **74**
Case Study: Eleven Unit Numbers **75**
Recognizing Value **76**
A Lead Means Nothing 76
Pick Your Area 76
Call the Title Company 77
Hop in Your Car and Drive 77
Now You Are Prepared to Evaluate a Bird 77
What About a Rental? 77
I'm Not Talking About Retail 78
Wholesaling Property **79**
What is Wholesaling? 79
How Do I Do It? 79
What Should I Charge for an Assignment Fee? 79
Financial Guidelines Worksheet: Property to Flip **82**
Financial Guidelines Worksheet: Property to Keep **83**
Bird Letters **84**
What is a Bird Letter? 84
Key Elements 84
What You Will Need 84
The Write Approach 84
Sample Letter 84
What Else Should I Consider? 85
What Comes Next? 86
World Letter **87**
What is a World Letter? 87
Key Elements 87
What You Will Need 87
Your Story 87
Follow Up 88
Opening the Door to Seller Financing **89**
Simple Negotiation Example 89
Hidden Potential 90
Listening & Awareness Are Keys That Unlock The Deal **92**
Stated Goals 92
Un-Stated Goals 92
Use Their Language 93
Take-Off Ramps 93
1031 Tax Deferred Exchange **94**
The Tax Man Cometh 94
Tax Deferral 94
The Real Problem with the 1031 Tax Exchange 95
It Couldn't Happen to a Nicer Guy 95

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

A Wrap Note and All My Clauses ... 97
You Just Turned the Screws on Yourself ... 97
When Does a 1031 Exchange Make Sense? ... 97
Understanding "Basis" for Tax Purposes ... 98
Uncle Sam's Rules ... 98
At Time of Purchase ... 98
The First Year ... 98
After Twenty Years ... 98
When You Sell ... 98
Here's the Issue ... 99
Recapturing Your Basis ... 99
Appreciating What Depreciation Can Do For You ... 99
Homework ... 101
Your To-Do List ... 101
Getting Started: A Visual Guide ... 102
You Can Do This: Jane's Story ... 107
Add Those Three Things to the Blender ... 107
Jane's Full-Time Job ... 107
Jane's Part-Time Job ... 107
Comparing Her Jobs ... 108
How I Met Jane ... 108
Remember ... 109
You Can Do This! Commit to Yourself ... 110
Just One a Year Will Make a Difference ... 110
Hang On ... 110
Other Reach Returns Resources ... 112
Essential Wisdom for Wealth ... 114
Introduction ... 114
A Fresh Perspective ... 114
Ordinary to Extraordinary ... 114
Mindset ... 114
Speculator/Investor ... 115
Questions of Proposition ... 115
The Slow Dance ... 115
Develop Your Team ... 116
Unsecured Lines of Credit ... 116
O Captain, My Captain—The Three Pillars ... 116
Location ... 116
Two Categories of Properties ... 116
Terms: Buy & Sell ... 116
Terms: Buy & Hold ... 117
Dealing Directly with the Seller ... 118
Expandability ... 118
Deliberate & Proactive ... 118
Handling the Response ... 119
Prepare to Meet the Seller ... 119
Listen to the Rhythm of the Dance ... 119
Understanding the Seller's Situation ... 120
Promissory Note & Deed of Trust ... 120
Harvesting the Field ... 120
Changing the Income Stream to Change the Value ... 121

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Property Management 121
Down the Line, the Exit Plan 122
You Can Do This 122
Contractor/Construction/Remodeling Checklist..... 123
Additional Bird Letter Samples from students..... 130
Assignment Contract..... 135

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

How I Got My Start

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Ordinary to Extraordinary

Mentors—the Key to an Extraordinary Life

I am painfully normal, but I live an extraordinary life. I believe that I am living an extraordinary life because a long time ago a couple of people allowed me the opportunity to learn from them. My first mentor, one of Seattle's largest property owners, owned more than 3,000 units. Another mentor was recognized as the top real estate agent in a three-state area year after year. I wasn't born with the mindset or knowledge base I currently possess. My worldview and the way I think were not inherited traits. I learned it all and choose to conduct myself in specific ways.

The Why Question

Why do I teach? I teach to give back what was generously offered to me. I get asked a lot of questions about real estate by a lot of people. Answering them is time-consuming. I am asked to speak here, there, all over North America. Like you, I only have twenty-four hours in a day and I need time for my family and my investments. I am still a very active investor. The courses and events offered through Reach Returns, Inc., is how I give back in a way that works for my life.

Ignorance Was Bliss

I didn't realize it at the time, but my parents did me a huge favor when I was a kid. Simply, I was raised to be independent. Since I was eight years old, I knew that when I graduated from high school my parents would consider me an adult. And, adults need to support themselves. It wasn't a bad thing or intimidating, just the way things worked in my family.

In my junior year of high school, I started thinking seriously about my independence and began to prepare myself for the reality of what was to come. I wanted to go to school at the University of Washington, if it would accept me. I went on campus and looked at dorms and other housing options. Nothing seemed to fit me. I'm an independent guy so I looked at rental markets. Then, for whatever reason, I started researching the idea of buying a house. It seemed a ludicrous idea at

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

the time. I had no job and I had no money. I worked construction during my summers and had saved $1,000, which wasn't much when considering buying a house.

Maybe ignorance was bliss. I certainly didn't know what I didn't know. I was never told that buying a house with $1,000 was impossible.

The "Moment"—A House for the Price of a Happy Meal

I started researching and learned something real quick. I couldn't obtain a bank loan. When most people think about real estate, they think they need to follow a well established process: find a real estate agent, drive around looking at houses, get qualified for a mortgage, and, finally, obtain a bank loan. Well, that wasn't an option for me; I didn't qualify.

Plan B was to find somebody who owns his house free and clear and then get him to like me—really like me! I knew that I needed the seller to trust me so my measly $1,000 for a down payment would be enough and the seller would be confident that I would pay off the rest of the loan. That's what I did. It was pretty simple. I bought my first house for $25,000: $1,000 down, $24,000 on a note at 7 percent interest. The payments were $206.10 per month. We never forget our first love, do we?

I felt grateful. I thought, "Thank God, I have a place to live!" I wouldn't have to sleep in my car trunk. Then came a defining moment in my life; everything changed. My two best friends, Geoff and Kelly, moved in with me. They rented the two bedrooms and I slept in a bed I built in the laundry room. They rented these bedrooms for $100 each per month.

The first time I sat down to pay my mortgage payment it was thirty days after closing. As I was paying my bills, Geoff and Kelly walked in and each put a $100 check on my desk. There sat $200 of their money and my mortgage payment of $206.10. Wham! Realty hit me hard! Geoff and Kelly were buying my house. My contribution each month was $6.10, less than the price of a Happy Meal at McDonalds.

Life Changed

I will never forget the sobering hour that followed that defining moment of my life. I sat there, shaking. Yes, my bed was a bunk I built above the washer and dryer and my first bedroom in my

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

first house was filled with laundry. But, I felt like I was King of the World! I not only owned real estate, but my friends were buying it for me! I couldn't believe it. In the same moment, I became a man obsessed with repeating that real estate purchase again and again. After more than thirty years, my objective has not changed.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Recognizing Excellent Properties or “Birds“

The Other Agent in the Office

I declared myself a real estate guy and decided that a real estate guy needed a license. I took the test and obtained my license. The next step: where to put the license? I joined a brokerage office near my house because it was convenient. Now what do I do? As I hung out in the office I started seeing multiple listing reports, real estate signs, brokerage commissions, and a lot of other “stuff.“ I kept thinking, “Wait a minute. I’m a real estate guy. I buy real estate.” I kept watching and learning, all the while knowing that I had one experience purchasing real estate—one technique I knew worked for buying a house.

There was one other license hanging on the wall of that real estate office. The agent’s name was Thomas Francis Newman. Although I had been in the office for a while, I had never seen him. However, I knew of him because he was the number one agent. All the Puget Sound Multiple Listing reports that I read talked about him. The most valuable player in all of Washington was in my little office. Unbelievable!

Thomas Francis Newman had four secretaries working directly for him and they were busy! Each of them had stacks of files on their desks. I became obsessed with answering the question, “Who is Tom?” I needed to find him. I wanted to learn from him. I’m a real estate guy now and my toolbox is pretty empty. I’ve got to learn and know real estate. Being a likable guy only goes so far.

I Decide to Wait for Him

I decided that I would wait for him. He must come into the office late at night. I was usually there in the evening, so Tom must come in even later after I had gone home. So, I packed a lunch, gathered my schoolwork, and went into the office. I stay there all night. Tom didn’t come in. I went there the next night and, at about midnight, a Cadillac pulled into the parking lot. The door

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

flew open with the engine still running and headlights shone into the front office. Tom grabbed an armload of files from the seat. As he approached the door while searching for his keys, he realized that someone was inside so the door must be unlocked. He backed into the door, never said a word, and headed directly to the back of the office to dump this load of files. He was focused; it was a drop-and-go trip. I realized that in order to get his attention I had to tackle him or switch to plan B. I chose the latter. So, as he walked past me, I headed the opposite direction and walked out the door.

Plan B

I sat in the passenger seat of his car, fastened my seatbelt, and locked the door. When he came out, he approached the car, paused, and looked. He didn't know what was going on. He opened his driver's door and said, "Who the hell are you?"

I answered, "You must be Tom."

"Yea. Who are you?"

"I'm Greg Pinneo, a new agent in the office. I understand that you know a lot about real estate. You're a superstar and I want to ask you some questions. You seem very busy so I figured your car might be a good place to talk to you."

"It's not a good place. Get out of the car!"

I didn't and he persisted. Finally, he said, "I'm going to get in the car and drive away and I'm not going to talk to you. At some point, you will have to bail out." I didn't really know what he was thinking, because he didn't say a word. I tried to warm him up by telling him how great he was. All of a sudden we pulled up to his house and he left the car. He said, "Hah, I'm home. I'm going to bed. What are you going to do?"

I responded, "Well, I guess I'm sleeping in your car." He shut the car door and walked into his house.

Of course, in the morning I was still in his car with my hair sticking up and my teeth in need of a toothbrush. There I was. I won. Tom responded to my sincere persistence. We became friends and I learned a lot from Tom Newman. Through three stories, I'm going to share with you the three most important things I learned about real estate from Tom Newman.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

It's About People

As I got to know Tom, he bet me that I couldn't take him anywhere for breakfast or lunch in two Puget Sound counties where he wouldn't know somebody in the restaurant. If he didn't know somebody, he would buy lunch. If he did know somebody, I would buy lunch. I laughed and said, "You city boy! You have no idea of some of the dives I know."

"Try me, Pinneo."

Early one morning, I took him to the tiny, postage stamp town of Index, Washington. We walked into this little dive café with no customers. We sat ourselves. There's a cook in the back, and finally a woman came out to serve us. I was a starving student so I ordered big—the fisherman's breakfast complete with waffles, eggs, bacon, ham, toast, and potatoes. It was an opportunity for a big meal on Tom. As we were finishing our meal, I heard the door swing open and saw Tom smile. Standing behind me up was an older lady. Tom said, "Hah, hah, hah, looks like you just bought breakfast, Pinneo."

I sat there thinking he was messing with my head. The next thing I know, he looked up and said, "Alice, how are you?" I could not believe it. Everywhere he went, he knew people. He knew their names and their kids' names. He asked questions—a lot of questions. Tom taught me that the real estate business is about people. Yes, there are numbers on paper, offers, counter offers, and back-and-forth negotiations. More importantly, though, the real estate business is about relationships.

Bird Watching—Having Vision and Being Educated

The second thing that Tom taught me was fluency in the language of real estate. He would often let me ride shotgun in his car. Once we were riding along and he looked out the window and said, "Pinneo, see that bird?"

I responded, "See that bird? What bird are we talking about?" I was looking in the air for a robin or a finch flying around.

"We just passed a seven-foot bird."

"Tom! Stop the car! What are you talking about? Help me. It's like you're talking a different language."

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Tom clarified, “Do you see that little house over there? Because of how the lot is zoned, we can create a vacant lot by moving that house to the back yard of the house next door. Then, we can short plat the lot and build fourteen units.”

“How did you see that? How do you know?”

In order to see and act upon opportunities, you need education and vision. Learn the fundamentals of real estate and train yourself to look with different glasses. Being a real estate investor is about being able to create.

Tom’s Final Lesson—Life Balance

Tom Newman also taught me about balance in life—the importance of aligning the spiritual, mental, and physical aspects of life. Unfortunately, he taught me about balance because he had none. When I was thirty-two years old, I gave the eulogy at his funeral. My good friend and mentor was a real estate investing machine without balance. Tom Newman killed himself when he was forty-two years old.

When you lean in one direction—it doesn’t really matter which direction—you’re vulnerable. We need to stand straight and stand tall.

As great as investing is, as passionate as I am about the sport of real estate, it is not my end-all, do-all, say-all, or be-all. I keep balance in my life. Please remember that one of the reasons I started Reach Returns, Inc., was to be able to answer people’s questions about real estate in a way that works for me. Responding one-on-one to individual questions was starting to take over my life. I want to give back—share my knowledge—and have a life, too.

I sincerely hope that you take this message to heart. I want you to find wealth in a variety of ways, certainly financially, but more importantly in the quality of your life. Take time to care for yourself. Develop relationships that feed your soul. Pursue your passions. Do those things that help you to expand your horizons.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Developing Lines of Credit

Start Where You Are

Let me tell you a story about how I developed unsecured lines of credit at the ripe old age of nineteen. Remember, I was the real estate guy. I was rolling along, well aware that my dough supply went out the door with the purchase of my first house. I was broke and if I found more birds I had no money for a purchase. Not a good scenario. The idea of starting a line of credit seemed good, but how do I do that, especially with no job?

Putting on My Best Jeans

Here's what I did. It cost a little bit to get this done, but it actually worked out very well. I saved a thousand dollars and entered my first bank. Looking back, it makes me laugh. I dressed in my best pair of jeans and walked into the bank. I said, "Listen, I am going to be a fantastic client of yours and I would like to establish a relationship. Here's my resume: I graduated from high school with honors. I'm a good athlete and an Eagle Scout." I told the bank every good thing about myself.

Then, I laid out my proposal, "I would like to put $1,000 in a savings account and sign something that says I can't touch the money. Since I can't touch the money, I would like you to lend me a thousand dollars." Who on the planet wouldn't do that, right? I thought anybody would do it.

Continuing on, I let the bank know that after I showed my incredible competence to pay the loan back on time, I would return and ask the bank to release my $1,000 in savings. The result would be an unsecured $1,000 line of credit. Since bankers like to show how generous they are to people who are serious, they agreed to the plan—no problem.

And Then the Next Bank

When the time came, I withdrew the entire $1,000 thousand dollars and walked into bank number two. I said to the banker, "Hi, my name is Greg Pinneo. I would like you to take me seriously. I am an Eagle Scout and I would like to deposit $1,000 in your bank. You can freeze the money, if

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

you'd like, but I would like a line of credit for $1,000." I borrowed their money and put it in the next bank. I repeated that scenario fifteen times.

Fostering the Relationship

I had a lot of payments to make—a small price to pay to earn my line of credit. Six months later, I bought a new pair of jeans and looked sharp. I returned to every bank to pay off my line of credit and acknowledge that I had paid my dues. I asked the banker to unfreeze my savings account so that my line of credit would be unsecured. Every bank said "yes" to me. I kept tending to the relationship and every six months I successfully asked that my line of credit be raised. I still have a relationship with several of those original banks. Anyone can establish themselves in the same manner.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Mindset

My Version of Real Estate is About People

My version of real estate is about people. I don't go for the whole idea that buyers and sellers are like two fighters, each in their own corner with a wall in the middle of the ring so they never meet. No. In my version of real estate, the separation of buyer and seller doesn't happen.

When I have to buy something that's listed, oh, how I fight! I proceed kicking and screaming. I can't stand it! Why? The process is unfulfilling because I am not allowed to speak directly with the seller, to get to know that person and attach my personality to a proposition. I am unable to handcraft a deal. Think about it: how can a buyer and a seller work together to find value and direction—to meet all their objectives—if they never get the chance to understand each other's motivations?

I don't know how the separation of buyers and sellers has evolved in our real estate world. My number one asset is that I am willing to take the time to create a relationship. When you take the time to invest in people, your life will, in turn, return the rewards from those investments.

Mindset & Tools

Education and vision—these are two important components to your success. You're not going to know "stuff" unless you have the education. But you're not going to see that "stuff" unless you have the ability to see what's not there—what doesn't yet exist. We'll talk more about that as we go through case studies. Being a real estate investor isn't just about writing up deals and filling out forms. It's about creating.

I'm different in a lot of ways. I've just accepted that. One thing I don't do is waste time. Time is precious. Life's clock is ticking in my ear every minute of my life. How do you spend your time? Are you watching too much television? Are you doing things that don't fuel your passions?

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

I challenge you to devote a large portion of your time to improving yourself. Start with improving your mind. Isn't it interesting how we give a lot of attention to what we eat—how we feed our bodies—and relatively little concern to how we feed our brains?

If you want to be successful, find an inspiring piece of verse or poetry, something that motivates, uplifts, and challenges you. Memorize something every week. I've done that. What enters your ears and eyes helps determine your attitude and disposition. It helps you learn to see things differently. The mind is the key.

I can give you every tool known to man about real estate. We can talk about purchase and sale agreements, lease options, options, substitution of security, all inclusive trust deeds (wrap notes), and clauses like, "Maker of note has first right of refusal to purchase notes should beneficiary elect to sell note prior to maturity." All are valuable! But, they are nothing without the appropriate mindset—the key to thinking differently, being creative, and training your mind to see the world through a new set of glasses so you can take action with your education. Mastery of your mind is dependent on deployment of what you have learned.

Mastery requires practice and getting in the game. If we never practice, we'll never get in the game. If we don't get in the game, we'll never win. There are things you can learn only while in the game, things that books, programs, and CDs can't teach you. You have to step into the arena.

The Arena

I appreciate the wonderful words of Teddy Roosevelt: "It's not the critic who counts, not the man who points out how the strong man stumbles, or where the doer of deeds could have done them better. The credit belongs to the man who is in the arena; whose face is marred by dust and sweat and blood; who strives valiantly; who errs and comes up short again and again; who knows the great enthusiasms, the great devotions, and spends himself in a worthy cause; who, at the best, knows in the end the triumph of high achievement; and who, at the worst, if he fails at least fails while daring greatly, so that his place shall never be with those timid and cold souls who know neither victory nor defeat."

Ah! Can you see the vision? You see, I'm in love with the arena floor. It's where the fight is, where everything happens. It's dangerous. I've had a few cheek hunks taken out by the lions

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

along the way. I didn't see them coming. But, would I trade the arena floor for the viewing stands where it's safe? Not in a hundred years. You couldn't pay me enough money to sit in the stands. I'm in my early fifties and I've never had a job. I started in real estate when I was eighteen years old. I have never answered to anybody else. I wake up in the morning and I work hard. I try to figure things out. I'm no brain surgeon, trust me. I'm a B student. The arena floor, there's a lot going on there. It's a challenge just to stay alive. But, in order to be successful, you need to fall in love with the arena floor.

Redefining Failure

Here is your new definition: **failure is not trying**. If you go through your life, look back and say, "I didn't try that," you have failed. My hope is that you will look back on things that didn't go well in your life and say, "Boy, I tried even if it didn't turn out the way I'd planned." That is success. I want you to reflect with a smile on your face because at least you failed while daring greatly. Your place was not among those cold, timid souls who sit in the stands criticizing the players saying, "You should have done this, you should have done that." Fall in love with the game. Get fired up about trying. Risk taking action! I've taken hundreds and hundreds of educated risks in my life. Every action carries risks. You never know how things will turn out; nobody has a crystal ball. Success and freedom are the result of trying. Failure is not trying.

Along with redefining failure I would also ask that you redefine your definition of risk. My definition of risk is this: **everything you do in your life.** When you don't take action because the risk is failure, you also risk regret. You can ride forward from failure knowing you gave it your best effort. Your shortcoming wasn't for lack of effort or commitment. Regret, however, saddles you for the rest of your life. My personal feeling is that the risk of regret far outweighs the risk of failure.

With this in mind I invite you to identify "WHY" you want more out of life.

What's Your Why?

Real estate, like all other businesses, is work. Work can be tedious, boring, and all-encompassing. At times it may seem things aren't going your way. Other times distractions will challenge your resolve. You need to spend time looking inward to determine why you are committed to real estate investing. Making more money isn't the answer or you'd have more money. What is the

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

emotional attachment that you have to success? This emotional drive is a key ingredient in determining your success.

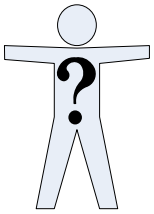
It takes a drive beyond materialism to entice us out of bed on a cold, dark rainy morning when we're not feeling well and don't have a boss holding us accountable. Dig deep and write down your "why." Then, revisit your "why" every time you feel lackadaisical or unmotivated.

I invest in real estate because it allows me to provide as a husband and father. I'm driven to be successful not so I can wear a nice watch and drive a nice car. I'm successful because I am driven to help my wife, children, and others pursue their dreams. Every time I grow lazy, I'm cheating their dreams, which is intolerable to me. When I take time off, I do so to spend time with them and help them pursue their passions.

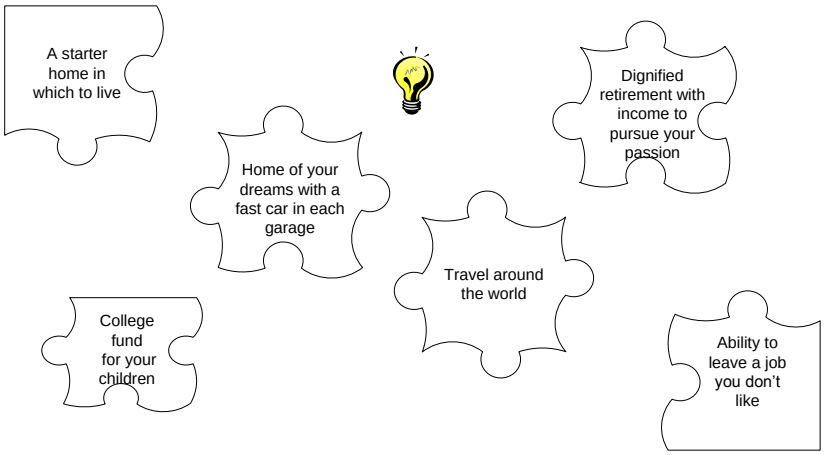
Once you have determined your "why" and redefined your definitions of risk and failure, you need to decide what you want.

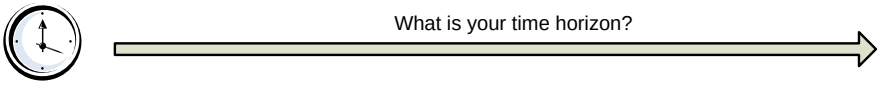
© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

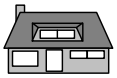
What Do You Want?



What Do You Want?





	Home	Short Term Income	Long-Term Cash Flow
Goal	A well located place to live for your family	Cash for daily living expenses and to develop capital reserves to invest further for long-term assets	A building that breaks even or provides a moderate cash flow in order to take advantage of leverage, appreciation over time and later a significant income stream
Tool	 Single Family Residence	House to Flip	Multi-Plex to Keep

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Your Financial Starting Point

Overview

Most people do not take the time to understand their own financial situation. They do not understand their assets. They are scared to total up and understand their debts. Hence, they do not understand their net worth. They just want it to be larger. I believe that understanding where you are is vital to knowing where you are going. It helps you know what kind of progress you are making.

If you have not taken the time to develop a snapshot of your financial health, now is a good time to do so.

Income

From where do you derive your income? Is it from a job, stocks, interest, or investments?

Source	Salary Income	Investment Income
Total		

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Cash Assets

List funds in checking, savings, money market accounts, etc.

Item	Amount
Total	

Other Assets

List other assets like stocks, bonds, rare artwork, etc.

Item	Amount
Total	

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Retirement Assets

List 401(k) or IRA type plans.

Item	Amount
Total	

Real Estate Assets & Debt

What properties do you own? Include both personal use and investments.

Property	Current Market Value	Debt on Property	Rent Role (if applicable)	Payment	Expenses
Total					

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Vehicles

What vehicles do you own and what do you owe on them. Include cars, boats, motorcycles, etc.

Item	Interest Rate	Current Balance	Current Value
Total			

Lines of Credit

List working lines of credit.

Item	Interest Rate	Current Balance	Amount Available
Total			

Other Consumer Debt

List credit cards, etc.

Item	Interest Rate	Current Balance	Amount Available
Total			

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Your Financial Snapshot Summary

Use the summary figures from the previous sections.

Assets	Amount
Cash	
Other Assets	
Retirement Assets	
Vehicles	
Real Estate	
Subtotal	

Debts	Amount
Vehicle Debt	
Real Estate Debt	
Lines of Credit Debt	
Other Consumer Debt	
Subtotal	

Subtract the debts from the assets; this is your financial net worth. This is something you should update every year and use as a gauge.

Total	

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Speculator vs. Investor vs. Oz

Investor/Speculator

The investor and the speculator are two very different beings. An investor puts his efforts, his money, and his time toward known, proven quantities—things that have existed over time and will very likely continue on. The speculator hopes for things that haven't yet been proven—unknown entities. The speculator is more of a gambler. He is looking to buy ground where the next freeway off ramp is supposed to be built. Here's how he thinks: "This particular area is experiencing great growth so I'm going to buy in the next city up the way, because growth has to go that way." Do you know what? He may be right and win the lotto. He may lose. He may not live long enough for that next area to have a high rise. Speculators must know their tools: options, zoning, planning, etc. I'll have more on those tools later.

I am an investor, not a speculator. Remember, I'm a B student. I'd have to be a lot smarter than I am to be a speculator. I like to live my life today knowing that what I'm doing is productive. I want to know that my efforts are measurable. I am careful, conservative, and calculated. I have never once bought real estate that did not make me money. We're talking real estate investment, not real estate speculation

Oz

The concept of "Oz" seems to be confusing. Often, people call me and say, "I have found this great property. It's just an awesome investment. I can't wait to have you look at it."

I ask, "Where is it?"

"It's fifty miles out of town. It's a mobile home on the lake, but I think the lot could be split in two."

My answer: "No, no, no, and no."

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

The idea of “Oz” is this: Oz doesn’t have to follow any rules. If you’re in love with a house in the country, that’s your Oz. If a single-wide mobile home on the lake is calling your name, you’ve found Oz. Whatever sparks your passion, it’s Oz. God bless the fighting men and women who have protected our freedom to go wherever we’re drawn to experience Oz. But, let’s focus on what an investor looks for: known, proven entities.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

East-West Syndrome

It's Hammered

I'm going to paint a picture to illustrate what I call the East-West Syndrome. (In the end, I'll show you why location matters based on numbers.) The syndrome is based on the fact that in Seattle, where I am from, the city is bordered on the West by water so the land area stretches to the East. The syndrome is essentially a discussion of existing, established neighborhoods vs. new development.

Let's draw a basic demographic of a first-time buyer/investor. Picture a young couple and they want to buy a house. One sunny, summer Sunday morning, they decide to enjoy breakfast at the local café, their favorite place to eat, and then look for a house in one of the in-town neighborhoods. Off they go hitting all the open houses. They walk through every open house in the neighborhood and the least expensive house is $400,000. It is a two-bedroom, one-bath house with one of those basements you have to walk through carefully due to low-hanging cobwebs. The house has bad plumbing throughout and paper peeling from the walls. In the kitchen, there's no dishwasher and the cabinets have been painted at least nineteen times. The young couple is reeling.

Heading East

I think it's a magnetic force for the first-time buyer/investor. They hop in their car, and where do they head? They head east—out of town. Pretty soon, they realize that they're running out of gas so they pull off the freeway. Then, they see an open house sign. Let's go! About eighteen turns later they arrive. Pillars line both sides of a brand new road. Brightly colored flags fly over the pillars welcoming them to the new residential development. Wow! They drive into a cul-de-sac and see the house of their dreams; it's calling their name. It has everything: three bedrooms, two bathrooms, 1,600 square feet, and a two-car garage. They can buy it for less than that hammered thing they just looked at in the city. Unbelievable! They can even pick their paint colors: white, cream, beige, alabaster, sand, antique white, almond, or Swiss coffee. The vinyl floor options include white with flowers, white without flowers, white tiled, or white checked. Unbelievable!

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

And, “today, and today only,” the builder is offering special financing. The price includes a central vacuum system that works about as well as the electric starter on an $89 dollar grill. They purchase the house. Closing day comes and they show up with their U-Haul. They are so excited.

Where’s the Lawn?

The first thing they notice is the lawn is gone. They swear there was a lawn and trees. It appears that the neighbor has the lawn that used to be in their yard. The lawn was on plastic sheeting so it could be moved easily. A permanent lawn costs extra. If they would have paid for the lawn, the plastic sheeting would have been removed so the grass would grow. Later, they notice that when neighboring houses are sold, the lawn keeps moving down the cul-de-sac. It’s really something!

Okay, no problem. They are committed. The moving truck is due back in four hours or they’ll be charged ten more dollars. So, they unpack quickly and return the truck. Back home, the thought of tracking mud onto the alabaster carpet poses a problem. The lawn issue needs to be addressed immediately. But, they’re kind of broke so they go to Home Depot, open a credit card account, and buy a do-it-yourself yard. Unfortunately, the neighbors have some unruly kids who keep running across the newly planted yard. What’s their solution? Buy a fence. You’ve seen them—one- by four-foot panels and six feet high. They lean a bit because they weren’t built well.

A year goes by. The fence starts slipping sideways. A fleet of big wheel toy cars are in constant motion. Chalk drawings have turned the sidewalks into a twenty-four-hour art show. Every neighbor is home all the time. The young couple gets an idea, “Let’s go have breakfast at our favorite café in the city.” They hop in the car and drive to the city and sit at the café for hours. The sobering reality hits: there’s no romance in their suburban neighborhood. They love that great city neighborhood. They decide to sell.

One Minute Farther East

This is where it gets really hard to watch. The couple paid $310,000 for their home. Their closing costs were about $10,000 because of private mortgage insurance, reserves, and all the hokey-pokey hidden expenses. In addition, they spent $10,000 on landscaping, a fence, and other necessities for a new home. They’ve invested $330,000 into the house.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

A new awakening occurs when they discover that the cost to sell adds up to about $33,000, including real estate commissions, sales tax, escrow and title fees, and other miscellaneous expenses. To break even, they need to sell the house for $363,000.

The problem is that they bought their house in the midst of many new residential developments. Just one minute farther east is a BRAND NEW HOUSE for $349,950. Which house is more attractive to a buyer? Do the math!

Imagine walking onto a Honda dealership lot and having two purchase options: a brand new Civic for $15,000 (and you get to choose the color), or a two-year old, scratched Civic with 15,000 miles for $18,000. Which would you choose?

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

East-West Syndrome – The Numbers

In City romance vs. Suburban playground

Description: **1600 Sq. Ft.; 3 BR; 2 Baths; 2 Car Garage**

Purchase Price: **$ 310,000**

Closing Costs: $ 10,000

Improvements: **$ 10,000**

Total Investment: **$ 330,000**

Time to Sell . . .
7% real estate Commissions
2% State excise, Escrow
1% Title / Miscellaneous

10% of $330,000 = $ 33,000

Investment = **$ 330,000**
Selling costs = **$ 33,000**

Selling Price: **$363,000**

1 Minute Farther East - $349,950

You Pick Your Colors!

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Questions of Proposition

Most People Don't Ask

Most people don't receive what they want because they don't ask for it. It's that simple. Here is your challenge. Identify what you want. Then, ask fifty questions of proposition related to what you want and you will be shocked by the results.

What is a Question of Proposition?

What is a question of proposition? Simply, it is a question that can be answered either "yes" or "no." However, in order to ask such a question, you must be clear about what you want.

Know what you want. Ask questions of proposition.

The $10,000 Question of Proposition

I'm going to share a couple of recent examples. Awhile back, I had a mortgage that had some extra capital so I reviewed my portfolio to determine if it made sense to pay off another loan. I'm all about paying something off if that makes sense. I decided to pay off another mortgage so I pulled out my check book. As I was writing the check, a little voice in my head said, "You're assuming that what you're reading on the statement is the amount you owe. Have you asked if they would take less?"

Another voice responded immediately, "Yeah right, like they're going to take less! The statement says you owe this amount; just pay it."

"But, do you know for sure? You're assuming the answer before you've asked the question?"
If I could somehow inscribe a thought inside the head of each person on the planet earth, it would be this:

Don't assume the answer before you know the answer.

Don't disqualify the possibility before the possibility disqualifies itself.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

I picked up the telephone and called the mortgage holder. A woman answered so I gave her the loan number and asked to speak to the manager. Here's how the conversation with the manager went:

"This is Greg Pinneo. Here's the loan number. Do you have it on your screen?"

"Yes."

"I'm looking at a statement that says I owe this amount of money."

The manager answers, "Yes, that's correct."

"If I wrote you a check to pay off this loan and put it in the mail this minute, would you take less?"

"Hang on. I will check." Within ninety seconds maximum, she came back and said, "If you wrote a check and mailed it today, we would take this amount." The figure was $10,460 less than the amount printed on the statement.

I don't know about you, but I consider $10,000 a lot of money. What hit me, though, wasn't so much the money. I was struck by the experience. I almost assumed the answer to an unasked question.

Ask questions of proposition. You can only do that if you know what you want. Never assume you know the answer.

The answer to EVERY question you don't ask is "no." In life, the default answer is "no." We're all aware of this. The only way to unlock the possibility of a "yes" is to begin asking questions. I realize it sounds simple, but it is one of the largest factors I have seen that separates successful and unsuccessful investors.

117 Unlisted Properties

Here's a story about one of my partners who applied this in the same way we teach our students. She wanted a new home in a great neighborhood with a water view. She wrote and mailed a letter

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

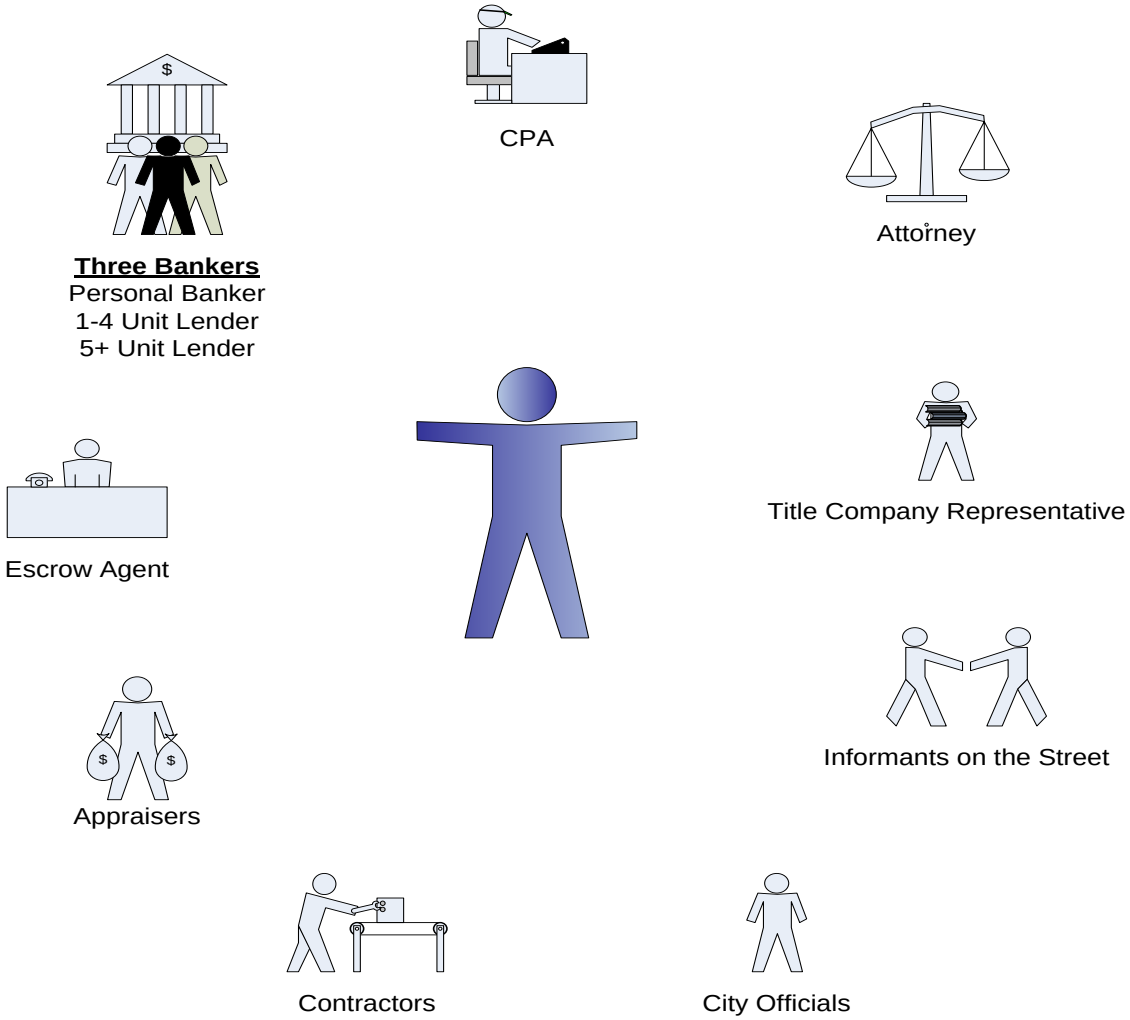
to the owners of 600 properties in the area in which she was interested. Out of the 600 letters, 117 people replied. Basically, she discovered 117 unlisted properties. She asked for what she wanted. She picked the best of the bunch and bought the house without the property ever being listed. Now she's living in that house, enjoying the view of the lake from her porch.

How did she find the 600 properties? How did she get the owners' addresses? What did she say in her letter? You probably have many questions. It all starts with developing your real estate team.

Real estate is a team sport!

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Developing Your Team



© 2004 Reach Returns Inc.
All Rights Reserved

Developing Your Team

This Is a Team Sport

I want to start by talking about developing the team that is necessary for your success. Real estate is not a solo sport. It is not you out there against the world doing your thing. You will be successful only if you have an incredibly competent team.

Title Company Representative

First and foremost, you need to have a personal relationship with a title company representative. That person is a key ingredient to your access to critical information on a regular basis. I'll explain how when we start talking about the way we find properties.

It doesn't matter which title company you contact. They all have access to the same information. If you own property already, you may want to call the company that provided the insurance policy. That way you already have a relationship.

When you call, ask for customer service. When customer service answers, say something like, "Hi, this is Greg Pinneo with Pinneo Properties." It sounds pretty legitimate, doesn't it? Oh, wonderful Greg with Pinneo Properties. "I am expanding my portfolio in the area and would like your assistance in locating properties that meet my criteria. I would like to develop a long-term working relationship with your company. If you provide information to me, I will work with you when it comes time to purchase insurance policies."

Set up a meeting, exchange contact information, and get to know them as you would any working partner. These people will work hard for you; treat them well. Please understand that this is not a script. You just need to understand the essence of how to talk with the title company representative. If you sound like you're reading a script you will get some push back.

Here's the integrity and ethical side of the equation. When you end up buying property, ask the sellers to use your title company when they purchase title insurance for you. That's how title companies make money. That's why the customer service department will give you information for free. They assume that you will do what you said you would do.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

A Tale of Three Bankers

I want you to have a relationship with three very different bankers:

- One- to Four-Unit Lender / Broker
- Five + Unit Lender / Broker
- Personal Banker

You need a relationship with a tenacious one- to four-unit mortgage representative. A loan for a one- to four-unit property is typically a resale product. Whoever gives you that loan will package your loans with a pool of similar products so they can sell it.

Loans for five-plus unit properties enter an entirely different world. Usually, the lenders you deal with will keep the loan in their portfolio. They will not package it to sell. They want to hang on to the entire portfolio. In the five-plus unit world, there limits on the number (and total value) of loans a borrower can obtain from any one lender. It might be four loans per borrower, or $1,000,000 per borrower. Consequently, you will quickly hit your limit with each one of these portfolio lenders.

The third banker you need is a personal, private banker. Often, people think that they need to have a large net worth in order to have a private banker. That's not true. Shop the banks and say, "I would like a relationship with a banker to deal with my personal needs as a client." They should be able to provide a private banker or a person in authority with whom you can deal directly. Interview your private banker. If there isn't a connection, find a different private banker. Switch banks. Keep searching until you find somebody who takes you seriously and seems to have your best interest in mind. You are going to be asking these people for lines of credit, a critical ingredient in your toolbox. As a real estate investor, you need lines of credit, secured and, better yet, unsecured.

Informants

You need to deputize everybody in your world as an "informant on the street." Everybody in your world needs to know that you are a buyer of real estate and that you are passionately looking for excellent properties to purchase. Here are some of the best informants: police officers, mail carriers, UPS drivers, and garbage truck drivers. They are literally wandering the streets constantly. Also valuable informants are people who provide a service in a sitting/talking

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

situation, e.g., barbers, stylists, manicurists, and dentists. What do they usually do while they're working on you? Talk, right? And listen.

Establish relationships with these people. They are critical members of your team. Sit them down, take them to lunch. I know this may sound totally crazy to you, but it works. My garbage man has given me two birds. He is in every alley. He knows what's going on. He can tell by the garbage what's happening in somebody's life. Truly, it's unbelievable. But, you need to be extremely deliberate about this relationship. This is not, "Oh, by the way, keep your eyes peeled." No, no, no, no. You need to sit them down. Tell them specifically what you want and where you're looking. Let them know that you pay for referrals.

All you need from your informants is the name of a potential seller and the property address. That's all. Look up the address and find the title. Discover as much as you can about the property. Then, contact the owner. I don't necessarily say where I obtained the lead. I just give them a call. Often their reaction is, "Your timing is amazing. Unbelievable! You were sent from heaven. We were just thinking about selling." But of course I already knew that.

When the deal closes, pay your informant roughly 3 percent of the sales price, the amount a listing agent would have charged. For example, a property sold for $200,000. A listing agent would make roughly 3 percent on that deal, so $6,000. If your deal is so slim that you can't afford to pay this type of fee, then you should be re-evaluating whether or not you should be doing that deal. Pay your informant in cash or otherwise? Guess what? Now you have a team member who is paying attention and telling others. On your behalf, they are building your network.

For fifteen years my office was next to a barbershop. Fred was my barber. Each time he cut my hair, I was in and out of the shop in about nine minutes. But, in those nine minutes I made sure he knew what I was seeking. All he does is talk to people. I paid him for leads. He'd ask all his clients, "How's your real estate? Got any you want to sell?" He was direct and blunt. It became a lot easier for him to give a $15 a haircut when he started receiving checks for $3,000, $4,000, and $5,000. You pay them as consultants. At the end of the year, have your accountant send your informants a 1099 form.

People ask me, "Do you really pay them 3 percent?" Yes, I pay my informants what a listing agent would have made. If that doesn't work in the scope of the deal, well, it doesn't work. If you can't pencil in the 3 percent and still make your deal work, don't buy your deal.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

After twenty-seven years of deputizing people in the street, I receive a call from somebody nearly every day. I disqualify 90 percent of them within the first five minutes. If their lead doesn't meet my criteria, I don't dismiss them. I say, "Let me re-familiarize you with what I am looking for because I want you to be a qualified informant." I remind them of my criteria and maintain our relationship.

Be deliberate! This is not a passive activity. There are no accidents. Your deliberate efforts will create results. Sit down with these people. Create a relationship. You never thought it was important to have a relationship with your garbage man, did you? If you have a mental block about approaching people, you may be giving up thousands, possibly millions of dollars. If I could guarantee you that your hair stylist will, without a doubt, turn you onto a deal that will make you $62,000, would you put aside your issues and talk to her?

Appraisers

There is an attempt these days to keep buyers and appraisers separated. However, you must have a relationship with the appraiser whose job it is to give the bank/lender a neutral opinion of a property's value. Often, a lender will hire select appraisers on a regular basis. If you want to purchase a property and you seek bank financing, your bank will want an appraisal of the property. We need to have a relationship with that appraiser. You want the appraiser to understand your vision for the property.

Sometimes you will want to ask for a loan based on what is going to happen in the future, not what already exists on a property. So, it is critical that that appraiser understands your plans. It is a talent to be able to give an accurate opinion of worth based on a set of plans and a vision.

Being in relationship with the appraiser goes back to having a good working relationship with the lender. Talk to the lender about the appraiser and who else will be sent to the property. Meet the appraiser at the property. Show him the comps you think are relevant. Let him know your track record. Develop a relationship.

City Officials

Know your city officials and inspectors. Ultimately, you're going to need a permit to do some remodeling, add on to an existing building, or maybe even build something new. It is important that you have a relationship with the inspectors who visit the project site. If you are doing a lot of this, having that personal relationship will make your project go a lot easier.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

You should also have relationships with the city/town planning commissions. This is where you'll find zoning maps and future city design plans. If you have building code questions, these people will have the answers. You won't ask for special considerations. What you want is good and timely service from your government officials. Some cities are awash in a quagmire of bureaucracy and having a good relationship with these officials may expedite your requests.

Investors

Ask yourself the question, "Who do I know?" Write down a list of these people. Who do I know that has more money than I do? Who do I know that has money in investments: stocks, money market, bonds, CDs? Who do I know that has money sitting in a bank? Who do I know that is perhaps retired or semi-retired and whose biggest concern is living off the interest income they earn from their investments? When you make the list, do not disqualify anybody. Right now, you are likely thinking, "I know where he is going with this and I just couldn't ask anyone for money."

Remember, we are trying to think differently and develop a new mindset. We are not going to disqualify any possible investor until we have asked him/her a question of proposition. If you do this exercise, I know everyone can write down fifty names. Go through your list. Just sort through your list and, without any hesitation, write down their names. Then, call them.

Some readers start to sweat at the thought of that proposition. I know it's a little unnerving at first. But, I am telling you to call everyone on your list and ask some form of the following question: *If I find a property whereby the rental income will cover all of the property's expenses, would you consider investing money that is collateralized by real estate at X percent interest per month in increments of seven years?*

Explain that the loan will be collateralized by a deed of trust and secured by real estate. The monthly payments will come from the income stream from the property and the term of the loan will be seven years when all will be due and payable. Or, in seven years the loan could be extended for another term. It's negotiable. Seven years is important because you need time for the real estate to appreciate. It may sound bold, but in my personal portfolio, I have more than $3 million that I owe investors—regular people. That is a lot of money and you don't get that without asking.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Rules apply, and we're going to delve into more details when we start structuring deals. But, I have already given you one rule: make sure that the income strength from the property covers all expenses on the property. I don't care if you have three mortgages, the rent must cover all the expenses: mortgage payments, taxes, insurance, maintenance, and utilities. If you have a heart attack, somebody needs to be able to step in on your behalf to collect the rent and pay the bills without interruption.

Rule number two: always be on time. Always, always, always be on time. Never consider being late paying a private investor or anybody for that matter. Millions of dollars may be funneled your way once people know they can trust and rely on you.

Rule number three: sit down every year and hold a business meeting with your investors to discuss their investment, even if nothing is going to change. Also, pay your investor a quarterly visit. It can be totally spontaneous. You could call ahead and say, "I'll see you tomorrow," or, "I am going to swing by to say hello." Stay in touch with your investors.

The time for finding investors is now. The stock market has done poorly recently and the available interest rate from safe investments like CDs is very low. When you seek investors you create a win-win proposition. Billions and billions of investment dollars are out there. Yes, you are asking people to make a secured, collateralized investment. And, it is the people side of the equation that I want you to understand. They are investing with you, not some unknown broker on Wall Street in New York. Fostering the relationship is up to you. I have investors who started out giving me $25,000. One guy, Jimmy, invested $25,000 and I guarantee that to see him, you wouldn't think he had five bucks. Now he has $500,000 invested with me. Every time the stock market takes a blip, Jimmy calls me and says, "Hi Greg, can you use another $50,000? I am so sick of watching these red numbers. I just can't stand it anymore."

Can I use another $50,000? The answer is perpetuated by product—having a property to buy. Do you see how important it is to have active informants on the street? They bring product. If I don't have a property worth buying, I cannot borrow Jimmy's money. I have had to say no to millions of dollars. I'd have to say, "Jimmy, thank you for calling me. I appreciate your confidence, but can you hold tight? Please, keep the money available if you can. I'll understand if you can't, but right this minute, no I can't use your $50,000. When I find a property, I'll call you."

When I seek investors, am I giving away a part of the deal? No. I am offering interest income that is collateralized. I am not giving away equity. I am not opening a partnership possibility. I am not

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

collecting partners and forming a joint venture or a limited partnership. I am collecting investors. I want people who have money in the bank and the simple goal of earning a higher rate of interest income. Do you realize how many people on this planet have money in a savings account right now earning a low interest rate?

I am telling you that investors will change your world. If you don't believe this can happen, begin by writing down those fifty names and presenting the investment idea hypothetically at first. Do not wait until you need money to start phoning people. Start lining up those who are willing to consider investing with you. Then, when you have a bird tied up, call that investor and present the real deal. You might say, "I have tied up a property and have a two-week feasibility period. Here's what I need to make this deal fly. May I swing by, sit down with you and go through the numbers so you can see exactly what I am doing?"

Here's an example. We find a six-unit property to purchase and we think we'll need to put down $100,000, which we want to obtain from an investor. Somehow we're going to finance $500,000 through the seller or a bank lender, who will receive a first position deed of trust. For the down payment, the investor will receive a second position deed of trust. If this is confusing to you, don't worry; we'll get to that, and you'll understand.

The mortgage payments for the first and the second totals $4,000 per month. In the hypothetical scenario, we're going to rent each of the six units for $1,000 per month and all our expenses are covered by the rent. It is a very simple scenario. After explaining the scenario, the question of proposition to the investor is, "Under these circumstances, would you consider lending me $100,000 at 6 percent or 7 percent interest?"The goal is to try to get a "yes" so the door is open to contact them when you have a real deal for which you need investors.

This is not a casual conversation. It is a business proposition that requires professionalism. In order to sell an investor on the idea, you have to understand the nuts and bolts of real estate and your specific deal and present both in a professional manner.

Escrow Agents (Or Attorney, Depending on Your State)

Your escrow agents are limited practice officers. Think of them as mini-attorneys. They are the third parties who ensure that the deal is transacted per the agreement and in keeping with applicable law.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

The competency of your escrow agent is absolutely critical, especially when you start putting something together that is a little bit creative. The agent must be able to follow your deal as well as you can follow it. It is very simple if it is a no-brainer deal: a $200,000 house, $10,000 down, $190,000 on a note. Any escrow agent can process while sleeping. But, when you take it up two or three notches and start moving notes, cross-collateralizing property, substituting security, or doing other things that we'll talk about, the competency of that escrow agent is critical.

My agent is Jeannie. She is so good partly because she works well with people of all shapes, sizes, and backgrounds. She can make anybody feel like a million bucks. She can make them feel comfortable and explain fifty pages of very complicated forms. Escrow can be a very intimidating process for somebody who has never been there before. A good escrow agent makes the difference.

When the closing documents are to be signed at escrow, plan to accompany the sellers. You are the one and only person who knows every aspect of the deal. So, when it comes time to finalize everything, pick up the sellers and drive them to the escrow office if you have to. Be there with them, available to answer questions and address concerns. All of a sudden, what sounded simple before may become complicated to the seller. When you get to escrow it's a lot of paperwork—a lot of words to read and forms to sign. Your ability, as well as the escrow agent's, to walk the seller through the process is critical to a smooth closing.

How does an escrow agent know what to do? You give them all the details of the deal you negotiate. Once you and a seller have negotiated the deal, you write it up on legal forms. This paperwork serves as escrow instructions. Then, you take the paperwork to your agent and say, "Here is what we have agreed on. Please prepare all of the documents to make this official." The escrow agent then prepares all the documents: Purchase and sale agreements, promissory notes, deeds of trust, etc. Agents work with the bankers if there are loan documents. They get it all signed and send it off to be recorded and made it legal. That's a layperson's understanding of escrow. Refer to our slide, "What is Escrow?" for an outline of the types of things that escrow manages, and *Foundations for Freedom* for specifics on how to negotiate the deal and write it up.

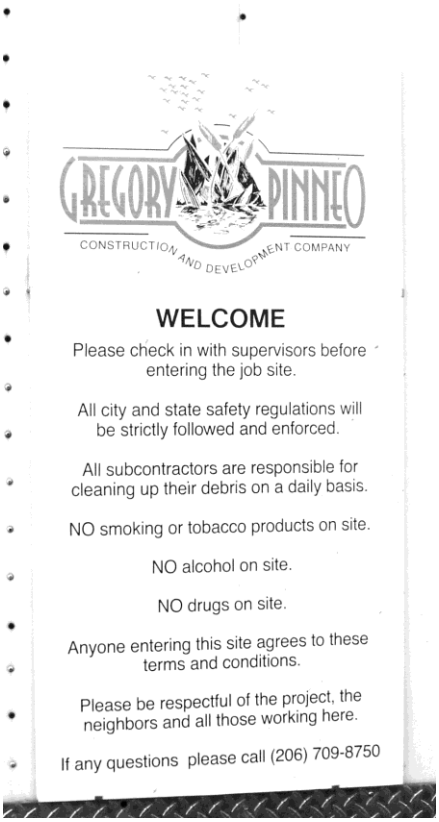
Contractors

Regardless of your particular method of investing, you will need the services of professional contractors. You'll need three specialists on speed dial: roofer, plumber, and electrician. If you are licensed, bonded, and insured in one of these trades, then you can take that discipline off the list. If you are not, then this is not up for discussion. These three skills can cost you dramatic

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

amounts of money if something is done improperly. If a wall isn't straight, the grout cracks, or millwork isn't straight … no big deal. If you have roof problems, electrical problems, or plumbing problems it will cost you far more than the professional services you thought were too expensive. Don't mess with these unless you're a certified professional.

I highly recommend that you choose contractors who are licensed, bonded, and insured. Few things can take you out of the game faster than a lawsuit by an uninsured handyman or laborer. The flip side of this is that if your project involves a construction site, you should have a construction insurance policy, which is very different than a homeowner's policy. Keep your projects gated with clear signage regarding your construction site policies. The sign below is attached to the job shack on all my construction sites. Remember, when all is said and done, you are responsible for your business so take it seriously and run it professionally. On a side note, if you have the time and the process in your state is simple, obtain your general contractors license. It can save you a great deal of money on things like title, escrow, and construction materials.



I also want you to have a relationship with an excellent remodeling contractor. Interview many to find the one guy who can pretty much do everything: drywall, floors, carpentry, painting, framing, millwork, windows, concrete, etc. Find him through referrals. Pick up the phone and

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

start researching; you will find someone. This key member of your team charges a reasonable rate and provides good service. Ideally, as you develop your business, this person will be on your payroll. He can manage your long-term hold properties so you don't have to do all the repairs and maintenance.

Even if you know how to do all the work yourself, you still need this guy. A day will come when you can't afford to be on the job site day in and day out. You will learn that your best effort is out in the field hunting new birds.

Some practical advice about dealing with contractors:

- Trust your instincts. Their character is as important as their work.
- Get to know them personally. You want more than just a contract at stake when they work on your projects. A relationship is involved. I've taken trips to Mexico with my electrician and gone fishing with my plumber. Because of these relationships I always move to the front of their project roster.
- Never pay everything up front. Tiered or scheduled payments are appropriate. Try to backload as much as possible.
- Ensure they are licensed, bonded, and insured.
- Ask if they have their own equipment so you aren't paying rental fees.
- Ask them to itemize their bid with materials and labor separated.
- Track progress and cost overruns. Many contractors have a habit of estimating low as a way to win the contract.
- Be onsite whenever you can. Show up unannounced occasionally.
- Make sure to offer incentives for quality work and expediency. Work pace is a huge issue.
- Get multiple bids on every project and negotiate for what you want. You are paying them thousands of dollars so make sure you're satisfied.
- The first time you use a particular contractor, it's better to start them on smaller projects and let them prove themselves.
- Don't be cheap. **If they've sold out**?? NOT SURE WHAT THIS MEANS? for your project give them a bonus. Let them know you appreciate it. When you do this, they will be more willing to do quick turnarounds for you down the road.
- When comparing bids, be sure you are comparing apples to apples. Quality of construction materials can add a large variance. One contractor might say they can do the

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

work for $5,000 and one says $5,800. The second bid might not be more expensive if the first bidder is using subpar materials like pressboard instead of plywood.

Certified Public Accountant & Attorney

This is stating the obvious, but you will absolutely need an incredible CPA and an attorney, both of whom know real estate. Taxes and laws are complicated and constantly changing. You need to create a tax and legal team that understands what you are doing. You need to have regular meetings with them and stay on top of the changes that affect your investment.

Get out there and talk to other investors and find out who they are working with. All attorneys and accountants are not the same. The person who has done your taxes or legal work for the past eight years while you've been working in the corporate world might not be the best person for your real estate business. These specialists need an intimate knowledge of real estate tax law and real estate accounting. They need to be very familiar with depreciation, moveable collateral, deeds of trust, capital gains, estate tax, etc. You need this focus not just for your own taxes but for your clients. They may need to have questions answered about their situation and your team members must be able to answer their questions simply and clearly.

Once you find these great people, use them. They are there to help you run your business. Remember, though, that you are in charge, not them. They aren't real estate investors. All too often I see investors letting the attorneys and accountants tell them how they should be buying property. Attorneys and accountants are specialized contractors. They have specific knowledge that I don't have time or the inclination to learn. They provide a great service so I let them do what they do best while I do what I do best. It's your job to hunt the bird; it's their job to package it the best way possible.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Top 12 Question to Ask Your Accountant

Test Your Accountant

Accounting to the real estate investor is a critical component of cash flow, but so is negotiating. Everyone realizes that there are a myriad of tax strategies and tools: exemptions, deductions, deferments, retirement accounts, depreciation etc. Along with those tools are countless ways to take advantage of what they offer. You and your accountant need to determine what is best for your short- and long-term portfolio. The questions listed below are items that you need to constantly be aware of throughout your career as an investor. These questions become increasingly critical as you approach a presidential election year and shortly thereafter. Each year ask your accountant the following questions:

1. What is my adjusted basis in every income property I own?

2. Are there any new "incentive" programs this year that might affect me?

3. What are current owner-occupied reinvestment laws looking like?

4. Are there any new vehicles, tools, or equipment incentives this year?

5. What is the current capital gains rate ... long term and short term?

6. What is the maximum "special allocated" loss a passive partner can take this year?

7. What changes have occurred in the estate tax?

8. What changes have happened in Medicaid liquid asset minimums this year?

9. Given changes since last year, would part of my portfolio be better held in a trust, LLC, or corporation?

10. Of all your clients, who is making the most money and what are they doing to earn it?

11. Are there any changes in the 1031 tax deferral program that I should be aware of?

12. Given the numbers of my life this past year, what areas of my business need improvement?

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Why Are These Questions Important?

1. *What is my adjusted basis in every income property I own?* This allows you to gauge your tax burden should you decide to sell an asset that you have depreciated. Depending on the equity you may or may not have harvested, you may owe the government more than the check you receive at closing. If that is the case you may need to do a 1031 Tax Exchange or sell the property on a note or wrap note. Keeping an eye on this factor tees up the terms by which you sell your income property. If you are keenly aware of your needs you can negotiate so that those needs are tailored to your conditions.

2. *Are there any new "incentive" programs this year that might affect me?* Trying to get a handle on tax programs is like nailing Jell-O to the wall; it just doesn't work for an investor. That is why it is critical to have a great real estate CPA on your team. From year to year variations will allow you to take advantage of certain programs, often for only a limited time. They are designed to stimulate the economy and production, and knowing these may save you thousands of dollars on your next car, boat, or plane. Knowing these incentives may help you assess whether or not to buy or sell anything in a given year.

3. *What are the current owner-occupied reinvestment laws looking like?* Knowing this allows you to have a window into what sellers are likely to encounter if they are living in the subject property. Are they going to face capital gains? Are they planning a 1031 into another house or multiplex? The more you know about the situation, the better position you will be in to begin your negotiations.

4. *Are there any new vehicles, tools, or equipment incentives this year?* As your business grows, keep in mind that many expenses will begin to be tax-deductible. Items purchased for your business are capital expenses that can be written off. Depreciation schedules and allowable deductions are all things you'll need to keep an eye on to run your business effectively.

5. *What is the current capital gains rate ... long term and short term?* Knowing the logistics of how capital gains taxes work may affect both the buyer and the seller. When negotiating, you need to be ardently aware of the taxes that the seller is paying, as well as the tax you will owe upon if it is a property you intend to rehab and sell. Knowing the rate the seller is paying is a significant card to play during negotiation. It's likely that a

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

seller isn't thinking about the $60,000 check they will have to write when selling their fully depreciated $400,000 income property. This might just be enough for them to consider carrying the financing, thus teeing up additional flexibility.

6. *What is the maximum "special allocated" loss an active partner can take this year*? If you make $100,000 or less, it's $25,000, and then after that $1,000 for every $2,000 over a $100,000. At $150,000 it's eliminated. Passive participants cannot record any losses. A real estate professional, however, is not limited in the amount of losses that can be recorded. If you are involved in partnerships, make sure your accountant is aware of their structure.

7. *What changes have occurred in the estate tax?* It's important to know the many faces of the estate tax for your retirement planning. But, as a negotiator, you need to know what sellers are facing when liquidating an estate. If you can ease their burden in any way, you provide value and enhance a relationship that may lead to a purchase. People often need someone to lead and someone to lean on. Let your understanding be the crutch upon which they can lean.

8. *What changes have happened in Medicaid liquid asset minimums this year?* Individuals nearing retirement age are exposed to the "system." Before Medicaid will provide medical care, a person's liquid assets must be depleted to a particular amount. However, a promissory note is not an asset included in that liquidation. This will enable the beneficiary to maintain an income. You can also set up co-beneficiaries within your agreement so that upon their deaths, there is an estate left to be inherited by family members.

9. *Given changes since last year, would part of my portfolio better be held in a trust, LLC, or corporation?* As an investor and a business owner, it is your responsibility to determine in what asset protection program you wish to participate. With many ways to structure your business, you need to decide what best fits your needs. Work with your team members, attorneys, and accountants to help guide your decisions.

10. *Of all your clients, who is making the most money and what are they doing to earn it?* Making money is rarely an accident. Always be cognizant of ways to improve your business by making more money or spending less. Either way puts more money in your pocket. Your accountant may not like this question, but have fun with it. You don't need

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

names; just what are they doing to make money? Honestly, this question is mostly a fun curiosity but you never know what will come from asking such a deliberate question.

11. *Have there been any changes in the 1031 tax deferral program that I should be made aware of?* You never know when the tax laws will change. The number of days allowable might change; they may cap the value … who knows? Always keep the tools in your toolbox sharp and ready. The last thing you want is to reach for a standard tool only to find out that everything switched to the metric system last year.

12. *Given the numbers of my life this past year, what areas of my business need improvement?* Empower your accountant to think outside the box. Anybody can have great insights. Ask them and let their creative minds wander. It is important to have an excellent accountant involved in your business; just don't let your accountant run your business. You are the boss; your accountant is your tour guide.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

The Three Pillars: Location

The Simplest Definition for Great Investment Real Estate

Everyone has heard the old phrase, "location, location, location" as it relates to real estate but few go further to define the phrase. After three decades of investing, I have developed a definition that I apply to everything I buy. It is an absolutely unbreakable principle as far as I am concerned for property you want to hold. If you do this my way, you have to grasp this one. If you don't get this principle, you may as well just throw darts. You're guessing and you'll likely just hurt yourself. Use the following definitions to judge all of your potential investment properties.

Romance within about a ten- to fifteen-mile radius of a major metropolitan area.

But Also Not So Simple

Romance within about an eight-mile radius of a major metropolitan area. It sounds so simple and it is when you apply common sense. Romance is a brick brownstone on a tree-lined street in a classic neighborhood. Romance is your favorite coffee shop right around the corner where the smell of the lattes wafts into the air. Romance is a view or a building on the lake. Romance is a place where both you and your tenants want to be. Romance is not something you have to sell hard. It sells itself.

Think of the advertisement you would place to persuade a tenant to live in your building. Does it say?

> Gorgeous apartment for rent, hardwood floors, coved ceilings, great neighborhood, walk to downtown, two bedrooms, one bath….

Or, does it say?

> Apartment for rent. Two bedrooms, one bath, easy access to freeway, only 45-minute commute into downtown.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

If you are flipping a property the same principle applies. You want to offer that classic, charming house with a porch close to downtown. Walk to parks and local shops. Fenced yard, perfect for kids and dogs.

A building across from the landfill may seem a good price but it is not romantic. A duplex on a four-lane road is not where you want to be. How will you describe it? “It sounds like the ocean.” Your tenant knows better. The ocean definitely does not sound like a four-lane road, and it doesn’t smell like one either. There are no seagull calls, no saltwater aroma.

Toyotas, Not Jaguars

The one caveat to “romance” in investment grade real estate is “on a budget.” While a house sitting on a cliff overlooking the ocean in Malibu is definitely romantic, it is too expensive for my version of investment grade real estate. If I am buying a home to fix and resell, I want one with an ample market of buyers, meaning most people can afford to buy it. I want one that doesn’t require most buyers to win the lottery before they can afford it. I want one that is purchased in the lower one-third of homes available in that market and can be sold in the lower half. Remember, we need to sell Toyotas and Fords, not Jaguars and Ferraris.

Now when it comes to a multiplex, the price does not need to be purchased in the lower third because price is not the key factor; cash-flow is. We’ll cover more of this topic in “Terms” and on the “Financial Guidelines Worksheets” in your coursework materials.

Oz

I have purchased some properties that meet none of the financial guidelines I have outlined. They are in the mountains or on a golf course, not close to the city. The difference is these are for personal use. I don’t plan to use them to make money. I just like them. I call them Oz, which can be anything. Just don’t confuse Oz with investment grade real estate. If you want a ranch with acreage, that’s great. Your horses will love it, I’m sure. But your horses don’t have money to buy your house or their barn. You need paying tenants.

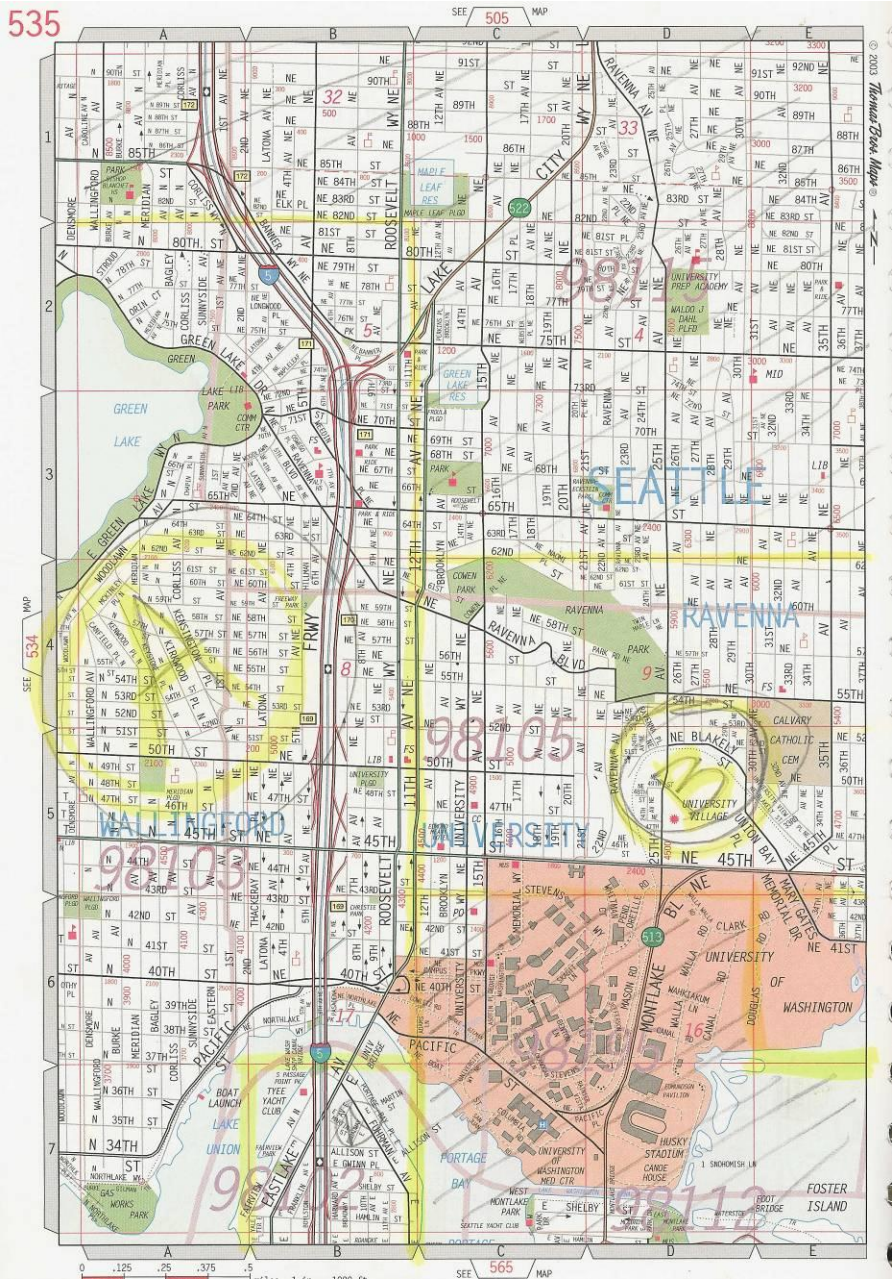
© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Searching by Location—How I Hunt for Investment Property

Now that we have dissected what makes a great location let's take a look at how I hunt for property. Remember now, I am hunting by location, not by some set of adverse circumstances. Are we going to find all walks of life in all situations when we hunt by location? Of course we are; that's the human condition. I just don't choose to prey on people's misfortune. If I run across someone in a bad way I am very cautious. Let's understand something: when people are backed into a corner and feel the world is against them, they will instinctually either bolt or strike. Either way, it's not good for our business.

If you are new to real estate investing, I recommend picking a smaller area to work until you gain solid footing and more awareness of how you want your business to operate. This area needs to be defined in terms of *Thomas Guide*© map and grid. If your area title companies use another mapping system then use that. A Thomas Guide map and grid would look something like this: Map 594 (A1-A5, B1-B4, C1-C5). What this does is assist the title company in pulling the information that you need. Below is a sample of what this map may look like.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)



I give the title company a couple of other criteria:

- No sale or transfer except via Quit Claim in the last ten years. You want the Quit Claims because that could be any number of circumstances and does not reflect equity.
- The lower third of tax-assessed value. You may have to approximate what this is and give them that number. You might have to say tax-assessed under $300,000 if that is the lower third.
- All multiplexes. I want to see all of these because you never know what someone's situation is in the multifamily world. I send a letter to all of these. If you're in a

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

downtown area you might not want to send it to the 400-unit high rise unless you've got some good assignment connections.

The more specific you are with your search criteria, the more likely it is you will receive the information you're seeking. Later, as you develop your relationship, they may be able to "paint" certain streets and filter very specific criteria. If you simply say, I'd like houses in Seattle tax-assessed under $500,000, you won't obtain much useful information and you'll waste a lot of stamps. Be professional and specific.

You can have this information sent to you as a hardcopy or emailed to you in an Excel spreadsheet. Once it's in an Excel file you can run whatever filters you'd like, such as non-owner-occupied, out of state, zoning, etc. Break your area into quadrants so you can rotate your mailings. Somewhere between two and four times a year is best, depending on your market and how competitive it is.

The Other Principles

While **Location** is the great driver, remember you also need **Terms** and, ideally, **Expandability**.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

The Three Pillars: Terms

A Study in Itself

Our second course, *Foundations for Freedom*, is all about the study of Terms. For the purpose of *Wisdom for Wealth*, we will simply introduce the concept of Terms and hit the high points.

The Most Important Term is Price

The key term for a buy and sell is price. You need to purchase a property in the lower third of your market so you can sell it in the lower half of the market. This is to protect your interests and ensure you have an adequate supply of buyers to purchase your property.

The Least Important Term is Price

The key term for a long-term hold property is not price; it is cash flow! I will always give on the price I pay for a building in favor of having some input into the other terms. For instance, the seller participates in the financing. I may pay $25,000 more for a building if they reduce the interest rate on the principle. This is because I know that cash flow is king. Over thirty years, which is better—$25,000 or an interest rate that is 5 percent versus 7 percent? Well, on $500,000, I can tell you which is better. Can you? Get an amortization book and look it up, or better yet, do the math and figure it out.

Foundations for Freedom

As I said, our second course covers terms. It's what I call terms to the fourth power—Terms ^{4}—so be sure to refer to that coursework for extensive information on all the negotiable terms that make a difference, but for now, I just want to make sure you understand the concept.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

The Three Pillars: Expandability

The Third Leg of the Triple Crown

The triple crown of real estate investing, as you may remember, is Location, Terms, and Expandability. Expandability is the final leg. It is not the most critical but it is the extra piece that makes a difference.

Changing the Picture

Expandability is changing the picture. It can be simple or complex. For instance, it could be as straightforward as mowing the grass and putting on a fresh coat of paint. It could be putting in coin-operated laundry and paid storage areas. It is an idea that, when implemented, makes the property more desirable and marketable, or contributes as a line item to the financials of the property. It is your entrepreneurship.

Keep Your Strategy in Mind

When you think about what changes you plan to make, always keep your strategy in mind. If you plan to buy a property and turn it around and sell it within sixty days, you need to limit the remodeling you plan to do. You won't be able to jack up the roof and add a second story in that timeframe. You would barely be able to obtain a permit in most municipalities. If you purchase a house on a large lot and plan to move it to another lot up the street and then build ten units, clearly the expandability will take some time, but that time likely makes sense given your strategy. If you plan to make this kind of sweeping change, you will have to know zoning and know it intimately. To find out more about zoning, check with city officials in your municipality. That's why they are on your list of team members. Get your city's code book and zoning maps. Get to know the city officials and find out what is possible.

Not only should you keep your strategy in mind as it applies to time, you must keep your financial formulas in mind. This is particularly important when it comes to remodeling. I can't tell you how many times people come to me with a plan to buy and sell a property within a short time period, but they have remodeling ideas that will take them at least six months and cost twice what they can realistically spend.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Potential Suggestions

Here are just a few things to start you thinking about expandability.

Additional Revenue Sources

- Changing the Rent
- Charging for Parking
- Coin-operated Laundry
- Vending Machines
- Paid Storage
- Rental Packages—If they want nicer amenities it's available for $X more / month

Landscaping

- Mowing the Grass
- Weeding
- Planting Flowers
- Removing Trash or Old Cars from the Yard

Cosmetic Changes

- Cleaning
- Painting
- New Carpeting
- New Fixtures

Minor Remodeling

- Replacing a Window
- Replacing a Countertop
- New lighting
- Rebuilding a Porch or Front Steps
- Building Storage Units

Major Remodeling

- Moving Walls
- Adding a Bathroom
- Tearing Down and Rebuilding!

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Use Expandability to Evaluate Your Purchases

Expandability should be in the back of your mind every time you consider purchasing a house or multiplex. When you see what others don't, your options increase.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Case Study: Single Family Residence

I don't know exactly how many deals we did last year, but this is one that underscores some points I want to teach regarding the Buy and Flip.

Before We Can Help You, You Need to Get Rid of This Stuff

Two sisters, both in their mid-fifties, inherited a property. They lived in a lovely suburban neighborhood. They are successful. Their husbands are successful. The person who owned the house passed away and left it to them. Now, these are busy people. They've got a lot to do. They have their homes, their kids. They've got everything going. On one side is a house that's worth about $800,000 and on the other side is a house worth about $600,000. And here in the middle is this two-bedroom, one-bath house with hardwood floors, a full unfinished basement, and a one-car detached garage. To them, inheriting this was a problem, not a good thing. They walked in

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

and thought, “Oh, my! Did he not throw anything away in forty years? This place needs work. Let’s just get rid of it!” What did they do? Called the real estate people. The local agent arrived, looked at it and said, “Oh, my gosh. Well, before we can help, you’ve got to get rid of all this stuff, paint everything, and clean up the yard.” But, getting rid of all the stuff was a daunting task all by itself.

The Answer is Right on the Kitchen Table

There they were standing in the kitchen in their white linen pants and the latest Italian designer shoes wondering what to do. As you can imagine, hauling out trash and scrubbing the floors did not rate high on their list. But on the table in the kitchen sat a file of letters from me saying that I want to buy this property. They called. They’re right there in the house. My day just changed. I’m at the house within fifteen minutes.

They called me. I walked through the house in three minutes and said, “You don’t have to do any anything. I’ll take the house in ‘as is’ condition.” I explained how I work and what I could offer them. As you might have guessed they were receptive to that proposition. I asked, “Do you want all cash or are we talking about different terms that might work?”

“No, definitely all cash. We’ve got six nieces and nephews who are going to get a part of this.”

“Okay, cash. I’ll give you $270,000.”

“Well, what does that mean?” asked the sisters.

We Write Up the Deal

I responded, “What that means is that we go up the street to the local café, I buy you lunch, and we write the deal now. You tell me when you want to close. On that date, we’ll walk out of escrow and you will receive $270,000 minus closing costs, which is state excise tax, title, and half of escrow. I cannot pay those for you. “

“And that’s it?”

“Yes, that’s it.”

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

“How do we know this is going to happen?”

“Well, how much earnest money do you want? Non-refundable.”

“Hmm, how about $20,000?”

“Okay.”

I bought them lunch at the local café. We wrote the deal. They left with $20,000. I left with a signed purchase and sale agreement. We closed the sale in three days.

How Did I Close That Deal?

Now, how did I close that deal? I used a line of credit. I already had the line of credit in place to pay the earnest money and the purchase price of the house. I just called my personal banker, explained the situation, and received the money in three days.

How do you do that? You start where you are. You start obtaining lines of credit and use them wisely. Show a track record. Help your banker understand your business. When the time comes, if you have played your cards right, you could do exactly what I did.

What Did I Make?

Nobody is going to retire off this deal. But here’s what occurred: I paid $270,000. I spent $8,000 cleaning up the house—hauling trash, cleaning, painting, landscaping. I added a new garage door. I had $4,000 of interim interest and $23,000 in closing costs to buy and sell the house. I listed it with a local real estate agency and negotiated the best commission deal I could. I invested $305,000 and sold the house for $385,000.

What About You?

Now, this is normal activity for me, bread and butter activity. But, for some of you, one deal a year like this one would give you more money than you earn all year. Having $80,000 land in your bank account would significantly change your life. It would allow you to say, “You know what? I do want this and now I’ve got just enough financial cushion, so here I go!” All of a sudden, you are fearless.

The keys to making this deal work were that I had been proactively marketing that neighborhood with letters. I met with the sellers personally on their timeline. If I had said “Let’s meet next week,” this deal likely would not have happened. I knew the market cold, no questioning value

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

and looking up sold comps after the call. I was prepared to take action and had everything I needed to write the deal. Do your due diligence before sending out letters. Always be prepared to write a deal.

This isn’t hard, but you need to apply mindset, education, and work ethic. If you are willing to get educated, learn to think differently, and apply what you have learned, you can do this.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Case Study: Single Family Numbers

Description:	**4th West - Queen Anne Plateau** **Owned for less than 120 days**
PAID:	**$ 270,000**
Improvements:	**$ 8,000**
Closing Costs:	**$ 23,000**
Interim Interest:	**$ 4,000**
TOTAL COST:	**$ 305,000**
SALES PRICE:	**$ 385,000**
NET in 90 DAYS:	**$ 80,000**

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Case Study: In City Six-Plex

Of course I buy homes, clean them up, and sell them. But, that's grocery money. That doesn't make you wealthy. It's a means to an end. With some money available, you are on your way to bigger and better things.

Two Sellers with Different Needs

Recently I received a call from a lady in her eighties. She owned a six-unit. She and her sister bought this building in the early 1940s. Her sister died about twenty years ago and her nephew—the sister's son—inherited 50 percent. So, the owners of this building were an eighty-three-year-old lady and a fifty-plus-year-old nephew. So, when I sat down to negotiate, the two sellers came from completely different perspectives.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Who do you think wants all cash? You know what? Most people would go, "Well, the old lady's got to have it; she's not going to be around long." It's just the opposite. The nephew wanted cash. He's fifty-plus and he's got things to do with the money. She didn't need anything and was more concerned about those she leaves behind. She wanted to leave all of it but she didn't want them to have it immediately. Over time, she wanted to make the money last.

Think of the challenge you would face in this situation. There are two sellers coming from two completely different places. You need to walk with a well-stocked tool belt because you never quite know what you're going to need. And, if you've only got one or two screwdrivers, you're done. You're on your way out the door.

What a Gem!

Now, back to this building. Oh, what a gem! There are six lake-view units on the east side of Lake Union in one of the best neighborhoods of downtown Seattle. It's a 1926 classic, brick building with 1,400-square-foot one-bedroom units. Who builds those these days? Have you even heard of a builder constructing one-bedroom units with 1,400 square feet? That's the way they did it back then: formal dining rooms, living rooms about the size of a handball court, and big kitchens and bathrooms. Three huge walk-in closets could almost be bedrooms. Unbelievable.

This is a 404 Level Deal

This one is a Real Estate 404 deal. It's complicated. This would take several hours to explain fully, but I will give you a summary so you can see what is possible.

I paid $925,000 for the building, about $154,000 a unit, which in the world of buying apartment buildings is top dollar. But, think with me. What am I doing here? Am I buying and selling? Am I buying and flipping? No. I am buying and holding. When you buy to hold, the least important term is purchase price. I have purchased many buildings where I've said to the seller, "You want $800,000? I'll tell you what. I'd like to give you $850,000 if I can have more input on the other terms." A seller will jump on that kind of offer.

On the buy and hold, the most important term is cash flow. I didn't put five cents of my own money into the purchase of this building. In fact at escrow, I walked out with a check for $5,000. Now, again, it would take two hours to explain to you how that happened, but that is the fact of the matter.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

My mortgage payment on the building was a total of $5,800. The owner who had lived there had the units filled with her friends and she had already given notice that she intended to sell the building and move. They all decided to leave, too. I had an empty building when I took possession but the rental income sixty days after I bought it was $8,000 a month. The revenue came from six units, five garages, a coin-operated laundry, and six storage units. This is an "a la carte" deal. Do you want the salad? Do you want the dessert?

Now I've Planted a Field

Now, all by itself, I've planted a field. I pull the weeds, vacuum, change the light bulbs, and do my management thing. I go to work and work hard. In seventeen years that building will be free and clear. That's math. Anybody can do math.

All by itself, that works. This one deal would send your kids to college and help you retire. But, I want to add the third principle to the mix. Remember? Location. Terms. Now, expandability.

Adding Expandability to the Mix

Expandability totally changes the picture. Expandability means doing something to the property that isn't already there. That's all it is. It can be as simple as a coat of paint, or as complex as buying a house, moving it to a different location, short platting the lot, building twelve condo units, and selling them. All with one little house. That's expandability.

Expandability is a big study. The content of the zoning book at your municipality can likely be measured in inches. It's not easy to know all this, but do you remember the terms hard work, mindset, and fluency? This is not get rich quick and easy. But, let me show you what expandability could mean.

With this six-unit property, I could turn the building into condominiums by hiring an attorney and a surveyor, and completing about $10,000 worth of paperwork. It would require a lot of paperwork. Once the legal process was completed, I could sell the units individually in ninety days for a total price of $1,940,000. I paid $925,000. That's a little over a million dollars left at the end of the day on one deal. And it didn't cost me five cents of my own money to buy it.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

I want to underline one thing. I am here because I believe in hard work, the ability to see things differently, and the importance of a well-stocked toolbox. Fluency in real estate can turn the life of an ordinary carpenter like me into an extraordinary life. I have an extraordinary life.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Case Study: In City Six-Plex Numbers

Description: Franklin Ave East; Purchased – February 2003
Brick 6 Unit – 1,400 ft. units; 1 BR; 5 Garages
4 Units w/View of Lake Union & Cascades

PAID: **$ 925,000** **(154K / Unit)**

NO MONEY DOWN
5 K in my pocket @ closing

Mortgages: **$ 5,800 / month**
Rent : **$ 8,000 / month**

EXPANDABILITY

Unit 6:	$375,000	Unit 5:	$375,000
Unit 4:	$320,000	Unit 3:	$320,000
Unit 2:	$275,000	Unit 1:	$275,000

TOTAL: **$1,940,000**
Amount Paid: **$ 925,000**

$1,015,000

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Case Study: In City Eleven Unit

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Case Study: Eleven Unit Numbers

Description: **Edgar – Eastlake, Built 1958**
Brick 11 Units, 1 penthouse, 10 1 bd, 1 bath
120 feet of waterfront, Great Views
Open Parking, 8 boat slips, Open Storage

PAID: $1,600,000.

Approximate Rents at Time of Purchase: $4,000/month
Approximate Building Value (Based on Rents at Time of Purchase): $500,000

Expandability

- **Clean It Up**
- **Raise Rents (All Tenants were on month-to-month agreements)**
- **Charge for Parking**
- **Build Out 22 Individual Storage Units**
- **Charge for Storage**
- **Charge for Laundry**

New Rent Role Within 60 days: $18,750
New Value Based on New Rents: $2,100,000

I have since been offered over $5,000,000 for this building

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Recognizing Value

A Lead Means Nothing

A lead means nothing unless you know the market. I own a six-plex in the Eastlake area of Seattle for $700,000—are you interested? Will you give me a non-refundable earnest money check right now? Yes? No? Yes? No? If you're frozen with that question, you need to study the market. If you owned that property and asked me that question, my immediate answer would be, "Yes, I am absolutely interested. I would like to see it right now. I'll drop whatever I am doing and go right now."

Why? I know the market intimately. How do you get know a market intimately? Remember I told you this isn't easy stuff. Start with the title company. Before you fill the furnace of your business with possibilities, you need to be educated.

Pick Your Area

I want you to pick your area. Pick a neighborhood that really appeals to you. If this is new to you, start with an area that is maybe three or four square miles. Keep the size manageable because you need to know the area intimately. You need to be able to picture each street in your mind's eye. When a lead calls, you need to know within a block where the property is and what that means to you. Once you have determined that area, you need to obtain a Thomas Guide map. You can find them at any bookstore. Get the map and look up your area by grid coordinates. The map will be displayed like the example below. Let's say your area falls into squares: A3, B2-B3, and C1-3 and map page 203.

	A	B	C
1			
2			
3			

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Call the Title Company

Call your title company representative, the one on your team, with whom you have developed a relationship. Tell the representative you want a list of every single family home that has sold in the lower half of the tax-assessed value in that area in the last year. You want to know when they sold and the price at which they sold. The report will tell you the address, the square footage, the number of bedrooms, and the number of bathrooms. At this point, you want a list only of properties that sold.

Hop In Your Car and Drive

It's going to take an initial effort on your part to actually look at a year's worth of sales. I mean physically get in your car and make it a day. Get your Venti Americano or your latte and start driving. Slow down the car and look at the house. It sold May 6th for $150,000. It's three bedrooms, one bath. Sit there and soak it in. If there is an alley, drive the alley. It's kind of like wine; you know how you're supposed swirl it in your mouth? This is the same idea. Get a feel for it. Develop an appreciation.

You might have 250 houses to look at if you really want to get going. When I was young and virile you could take me to any single family home that sold in the last year and I would tell you exactly what it sold for. That's a lot of work, but it's absolutely critical. Absolutely critical! Trying to buy without this information is stupid and ludicrous. Do not do it. You will waste your time and you will make a mistake.

Now You Are Prepared To Evaluate a Bird

Now you are prepared to evaluate a bird. You will know what to do if a lead calls and says, "I've got this house in this particular neighborhood. It has three bedrooms, two baths ,and I'm thinking I want $200,000 for it." You will know whether the market for that house is $100,000 or $300,000. You will know if you can likely make money by purchasing the house, cleaning it up, and selling it. But could you also hold on to it?

What About a Rental?

Knowing the market for sales doesn't give you the complete picture, does it? You also need to know the rental market. You need to know the price at which a house or a unit in a building will rent. You need to understand the maximum rent you can charge and still keep your building full. You need to know the amenities. Is parking included? Are there storage units? Do tenants pay for them?

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

To determine this, the same concept applies. Grab the local paper and look up all the units for rent in your area. Make an appointment. Go see them. Shop the competition. Drive the neighborhood. Look at the "for rent" signs. Determine who has vacancies and who doesn't. Know this market as intimately as you do the sales market.

When the time comes, you will know what kind of revenue could be expected from the building. Then calculate your monthly expenses. Now you know what kind of cash flow this building can support and hence you know what your offer can be.

I'm Not Talking About Retail

Notice that I did not say mixed use, commercial, or retail properties. Why? Again, I'm a conservative investor and I have always made money. Always, on each and every property I have ever purchased, I have made money. People always need a place to live with a toilet and a stove. People do not always need an office space. If you want to be an investor of office space, now's not the time. People are moving home with their businesses. Nowadays you can be in business with a computer, your cell phone, and your car. I am conservative and I am not a speculator. Have people made a whole bunch of money in office buildings? Yes. Have they lost a whole bunch of money? Yes. That's not what ***Wisdom for Wealth*** is about. I am old school, I am chicken, I am conservative, and I want you to be that way, too. I do not want to receive a call that says, "you know I bought this great mixed use and I've got four thousand feet vacant." Do that at your own risk, when you get smarter than I am.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Wholesaling Property

What is wholesaling?

Wholesaling property is one of the best ways to start in the real estate investment world. It's a great way to start because you don't need to have the financial bank ability to close the property. Wholesaling a property simply means selling your rights to purchase a property you have a contractual right to purchase.

In order to wholesale property you need to be able to recognize value and develop a network of people to whom you can assign the purchases. Follow all the other steps discussed in ***Wisdom for Wealth*** and ***Foundations for Freedom*** as to how to find, negotiate, and structure property.

How Do I Do It?

Once you and your seller have agreed to the structure of your transaction, write your purchase and sale agreement as follows: Your name and/or assigns (e.g., Greg Pinneo and/or assigns). This tees up a host of possibilities. You can close the property yourself if you are able. You can assign the property to someone else to close and they pay you an assignment fee. You can bring on any number of partners to close the transaction.

Regardless of your strategy, it is still your name on the purchase and sale agreement and your responsibility to ensure that the property closes exactly as agreed upon. This means that it's your responsibility to make sure your assignees will follow through. Always have a backup plan should your transaction head south for some reason.

What Should I Charge for an Assignment Fee?

The gauge for assignment fees that I use is a 50/50 equity split. If I get a property under contract for $300,000 and I think it's worth $360,000 I am going to ask for a $30,000 assignment fee. Fifty percent of the equity is a fair split on an all cash transaction. Make sure that your assignees make money on these transactions because you want to keep coming back to them for more deals.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

You will reach the point where all you have to do is call and they won't even need to take a look at the deal because it's you, and you've always done right by them.

If the transaction involves the seller financing all or part of the mortgage on the property then that is also worth something. In this case I may ask for more than fifty percent because I have provided them with incredible value. If I were to deliver a property that has a $40,000 equity position but has $360,000 in seller financing at 5.25 percent for fifteen years, I might ask for a $25,000 to $30,000 assignment fee.

I personally keep all my assignment contracts outside of escrow. That means my assignees pay me directly, not through escrow. It keeps it cleaner for lenders as well as for the person selling the property. Can you be paid an assignment fee through escrow? Yes, you can. I just prefer to keep things simple. It is also a good gauge as to your assignees' ability to perform. If they need to pay you out of escrow, are you really sure they can close this property?

It's not uncommon for investors in reasonable markets to make more than $100,000 a year in assignment fees. Keep in mind, though, this is just a job and you'll never develop any real wealth through wholesaling property. It's a great tool to keep your bills paid and help to fund your real estate deals.

Be creative with this tool. I have assigned properties where I received a set amount up-front and then another percentage depending on the net gains my assignees received when they sold it. I've sold properties where the assignment fee was entirely back-loaded because there was no equity up-front but the financing was great. The key here is to develop your assignee clientele. Look for remodel investors and apartment buyers at your local networking meetings. We have a group in Seattle (www.nwria.com) with a wealth of local investors and I recommend to all our local students that they attend these monthly meetings.

A sampling of properties you might want to assign:

- Properties where the remodel is outside your comfort zone
- Properties you don't have the ability to close
- Properties that need to be torn down and rebuilt by a licensed builder

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

- Properties where it doesn't meet my flip criteria. Many people are more comfortable with slimmer margins or have a lot of money they need to put somewhere. Don't use your judgments as a barometer for other people's business.
- Properties where you have bigger plans happening and don't have the time to take them down. This property, even though it's a good deal, might be better served as fuel to a bigger, better project.

I have attached the very simple assignment form I use as an appendix to ***Wisdom for Wealth***.

If you are interested in more details about assignments/wholesaling and you aren't signed up for our monthly CD subscription then get on it. Disk 1 is an hour of audio content that covers how to negotiate the "and/or assigns" portion of the contract, how to find your assignees, and how to explain what you are doing to your sellers. Go to www.reachreturns.com for more information.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Financial Guidelines Worksheet: Property to Flip

Item	Guideline	Amount
Estimated Sales Price:	Use a competitive 30-60 day sales price as your guideline. Also keep in mind that this end sales price should still be in the lower half of the market.	
Purchase Price	Enter the price you plan to pay for the property in question. This price should be in the lower third of the market.	
Remodeling Costs	Include a realistic figure for labor, materials, permits, etc.	
Carrying Costs	This is primarily the interest that accrues between time of purchase and time of sale.	
Cost to Sell	Use 10 percent of the estimated sales price for real estate agent commissions, tax, and escrow costs.	
Profit Margin	Use 30 percent of estimated purchase price as your set-aside.	
Your Investment Total	Add up all items in this column.	
Compare	Subtract the amount in “Your Investment Total” from the amount in “Estimated Sales Price.”	
Evaluate	The “Estimated Sales Price” amount should be equal to or greater than the amount in “Your Investment Total.”	

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Financial Guidelines Worksheet: Property to Keep

Item	Guideline	Amount
Anticipated Rent Role	Always use current rents to pencil the deal, even if they are under market. When you raise rents, you take a risk of vacancy. If you are the one taking the risk, you are the one who should be rewarded with the upside of the risk taken and the rents achieved.	
Mortgage Payment After Remodeling	This should be the total payment on all notes, including lines of credit which you used for this particular building.	
Property Tax Payment	Keep in mind that current property tax amounts may increase significantly when you purchase a property if the seller was a senior citizen who qualified for reduced property taxes.	
Insurance Payment	Contact your insurance broker to ensure that there are no problems with getting the building insured and for a solid estimate on what insurance will cost.	
Landlord Paid Utilities	Particularly in multi-unit buildings some utilities may be paid by the landlord. Some items on which to check include: water, sewer, gas, oil, electricity.	
Maintenance	Consider both ongoing upkeep as well as known major repairs.	
Management Expenses	For example, this should account for time and cost spent on leasing, bookkeeping, and tenant relations.	
Vacancy Rate	Factor in a percentage of lost rent role based on the known vacancy rate for the building or on an estimate.	
Your Expense Total	Add up all items in this column.	
Compare	Subtract the amount in “Your Expense Total” from the amount in “Anticipated Rent Role.”	
Evaluate	The “Anticipated Rent Role” amount should be equal to or greater than the amount in “Your Expense Total.”	

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Bird Letters

What is a Bird Letter?

A bird letter is a letter sent to owners of properties in which you have an interest. You send it to people whose homes are in approximately the lower one-third of the tax-assessed value of the area you have selected. You also typically send it to people who have owned their properties for ten years or more so that they are more likely to have equity in the homes. Their equity is just another tool that helps you make the deal work.

Key Elements

Length:	Less than a full page	**Envelope**:	Hand addressed
Attitude:	Professional and personal	**Postage**:	Stamp, not metered

What You Will Need

- ❑ White paper (Feel free to be creative but don't get cute. Broad appeal and professionalism is key.)
- ❑ White envelopes (You can use stationary type if you'd like.)
- ❑ Pen
- ❑ Stamps (Buy the personal ones if possible not the rolls.)
- ❑ Title report with houses that meet your criteria in your area
- ❑ Your letter

The Write Approach

Although I think that the best letters are those customized to truly represent the writer, people often are intimidated by this task. I have included a sample letter that I have used to get you started. Do not feel compelled to follow this sample exactly. Find your muse. Ask a friend to help edit. Be sure to proofread. One mistake and you are a joke. Your letter will get tossed in the trash. Most of all, try to write a letter that connects with your sellers.

Sample Letter

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Dear Owner,

My name is Greg Pinneo. I am active in real estate investing. I am extremely interested in the property that you own. I am sure this is not the first letter you have received expressing an interest in buying your property. I promise you that I am a serious investor. I am not looking for a listing. I simply would like to make you an offer to buy your property if you are interested in selling. Our conversation will be confidential. If this time is not right for you to consider selling, I would appreciate you keeping my number and calling me when the time is right.

References as to my bankability, credit, professionalism, and character can be given upon request. I pledge to not waste your time. Whether we actually do business together or not, it is my goal that your experience with me be a positive one.

Please call me anytime at _____. If I am not in, please leave a message and I will get right back to you. Thank you in advance for your consideration.

Most Sincerely,
Greg Pinneo

What Else Should I Consider?

Doing Your Homework: You will do yourself a disservice if you do not understand the comparable sales and rents in your area prior to mailing your letters. Without understanding the end product (flip or keep), you will not make wise decisions on how to achieve the result you desire. Knowing what a property will either sell for or rent for is crucial. Without this knowledge you are flying blind and a hazard to yourself and others. I can't say this strongly enough—drive your comps. Do your homework!

Timing: Be sure to pick a date to mail your letters when you are likely to be available over the next few weeks. Dropping letters right before you go on vacation makes poor use of your investment. Between Thanksgiving and Christmas generally sees a lower response rate, but then again there are less tire kickers calling. We've had a lot of debates on what day of the week is best to mail with rationalizations for just about every day. The important thing is to just mail them consistently.

Handwriting the Envelope: Don't cheat and go the label route. Your contact rate will decline without the personal touch. If your handwriting is bad, hire it out. If you don't have enough hours in the day, hire someone to address, stuff, stamp, and mail the envelopes. The reality is that this is tedious and time-consuming work. Hire it out. It will pay for itself.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Return Address: Generally, I put my office address, but not a name on the return address lines of the envelope. I've used my own home address before but I think it's more prudent to use an address that isn't your home address. The caveat to this would be P.O. Box. I wouldn't use a P.O. Box. It has the perception that you're hiding from something.

What Comes Next

When the call comes, tune out the rest of your world and pay attention to your seller. Listen for any clues that allow you to develop a relationship and take the discussion away from real estate. Then, watch those gauges. If they are going your way, get off the phone and meet one-on-one with the seller.

We cover far more of how these conversations work and what to say in our *Negotiations that Pay* CD Series.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

World Letter

What is A World Letter

A word letter is a letter that you send to people you already know. It is social and let's your family, friends, and associates know what you are doing and how they can help in a low-key way.

Key Elements

Length:	Less than a full page	**Envelope**:	Hand addressed
Attitude:	Professional and personal	**Postage**:	Stamp, not metered

What You Will Need

- ❑ White paper
- ❑ White envelopes
- ❑ Pen
- ❑ Stamps
- ❑ Your letter

Your Story

Since these are your friends, this letter must be customized. You might want to open with something like:

> Dear Friends,
>
> Sometimes time slips away before we even notice it's gone by so I thought I would take a moment to check in with you. Things are going well for us.

Then you would want to tell them your news. You are doing this. Your spouse is doing that. Your children are doing all these other things. You took a trip. You stayed home. Tell them about your world and then transition them into the concept of your real estate interests.

> We have a new passion. Over the past year, we have purchased several properties and have been fixing them up and renting them. We are always on the lookout for more.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Then tell them more about what you want. Do you want more houses to flip or perhaps more units to rent? Perhaps you want both. Be specific about the area.

Close with an inquiry about them, their passions, their spouse, their kids, their pet ferret … you get the picture.

Follow Up

Keep it light but let them know what you are doing and follow up occasionally but regularly. In competitive appreciating markets like we are in I find a large portion of my deals from these personal referrals. The more you put your real estate business in front of people, the better your odds are for closing a great deal.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Opening the Door to Seller Financing

Simple Negotiation Example

Remember the twelve questions that you need to ask your accountant annually. Those questions will help you better run your business, but the magic within those questions is how they can assist you in your negotiations. If a seller is reluctant to assist in the financing, doesn't it help you to understand their situation? Doesn't it help that you to know what their tax situation could be if they don't participate in the financing, and if they do?

Example: Sellers of a single family residence want $250,000 in cash for the home that they have rented for the last twenty years. There is no underlying mortgage on the property.

Buyer: Certainly all cash is an option: what do you plan on doing with the money?

Seller: We plan on putting it in the bank as a safety net during retirement.

Buyer: Do you need all that cash for something or are income and security more important to you?

Seller: We don't need the cash for any major purchase, but we want to ensure a comfortable retirement.

Buyer: Wonderful, it's certainly great to have those options. Have you reviewed that idea to see if that's actually the best way to maximize your retirement? I just want to be sure that you don't send $37,000 to the IRS needlessly. Are you also aware of the Medicaid liquid asset maximums?

Seller: No, we haven't discussed all that. I just thought cashing out was the easiest way.

Buyer: If I could show you a way to provide you with some cash and steady income for the next several years, would that be of interest to you?

While this is a very simple example, as a buyer it's obvious that knowledge of these programs can have a major impact on your ability to negotiate effective terms with the seller of the property. This is how we develop long-term relationships with sellers. If you can find common ground with the seller, that is mutually beneficial, the seller is far more likely to provide referrals in the future.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Just think, if someone saved you $40,000, would you tell your friends and family about it? Of course you would.

Hidden Potential

As individuals we all want to do business with people we feel are honest and have integrity. Understanding the investment business can be a valuable service to your sellers. These people are now going to be your blue ribbon clients. When you treat them with class and dignity, the referrals are only a matter of time.

I bought a six-unit apartment building from a woman who was getting her finances squared away for retirement. She wanted $750,000 all cash for her building. We spent a significant amount of time talking and building a relationship. I got to know about her life and why she was selling her building. Remember, selling is never about the building itself it's about people's lives. As we talked I noticed that she didn't really know what she was going to do with the money. She just thought that when you sell something, you get all cash. I walked her through every little detail of the transaction. What she would get, what she would pay in excise tax, what she would pay in taxes, etc. I gave her the names of my team members and told her I would pay for their time so she could ask any questions. I drove her to meet with some of them.

She sold me her building. The terms were a little different than our original conversation. She named the purchase price of $750,000. I gave her $150,000 down and the remaining $600,000 on a promissory note secured by a first position deed of trust on her property at 6 percent interest only or more.

We kept in contact because we had developed a relationship during this process. A few months later I received a phone call. Her $150,000 was quickly dwindling in the stock market. She wanted to know if I could take an additional $300,000 or so and secure it via real estate and pay her that same 6 percent. Do you see how knowing your business can be an asset to not only you but to your client? If I didn't understand her implications the deal would have been a cash-only, zero-potential transaction. I likely never would have received that second phone call.

For those of you who worry about how to finance your purchases, you need to focus your professional honest attention on the people signing the purchase and sale agreements. They aren't

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

the opposition. They are your blue ribbon investors. Treat them as such and you'll be shocked by what unfolds.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Listening & Awareness Are Keys That Unlock the Deal

The greatest contribution to your negotiation will be your ability to listen and identify the sellers' stated and unstated goals. It is this awareness that will allow you to custom craft a deal that will work for the seller and for you.

Stated Goals

Sometimes the sellers will tell you their goals. They will tell you the reason/s why they plan to do what they do. They may be very forthright about those goals and what they say is exactly what is going on. They may simply say that they want to sell their property and that their goals are private. Whatever your proposition is, it must respond to their stated goals. Metaphorically, you should row the boat in the direction it is already going. Do not try to turn their goals 180 degrees in the opposite direction. Work with them. Show them how what you are proposing fits with their stated goal.

Unstated Goals

Stated goals are great, but they are often not the whole picture. They may even really be a cover up for unstated goal. I don't particularly mean this in a negative way. It could be that they are just private people who do not want to share immediately with new people. It also could be they are not even entirely aware of all their reasons. Listen closely for life transition goals. There are times of our lives that lend themselves more readily to change. For instance:

- Children arriving
- Children growing up
- Children leaving
- Retirement
- Job changes
- Health changes
- Marriage
- Divorce
- Death

You need to be aware of the subtle clues that these things are happening and then handle them deftly.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Use Their Language

As you begin to have these discussions, always keep in mind the sophistication level of your seller and act accordingly. If the sellers are simple people, you need to be able to express your ideas in a simple way. You will need to be careful not to inundate them with real estate terms and acronyms. Confusing them or frustrating them is not in their best interest or yours. On the other hand, if the seller is sophisticated, you should be prepared to step it up to help them trust your competence.

Take-Off Ramps

The idea here is not to grill people with property questions. Don't move too fast. You need to follow the off ramps they offer you; exit the freeway of real estate. Let them warm up to you before you delve too deep. Keep the conversation social and flowing. Ask them light questions and probe their interests. Take clues from the environment. Ideally, you will be meeting in a space that is personal to them so you have better information with which to form your questions. A golf bag in the corner is an easy lead in. A picture of their child is a natural transition. Here are a few others to consider:

- Children
- Grandchildren
- Travel
- Fishing
- Cats
- Dogs
- Quilting
- Professions
- Hiking
- School experiences
- Neighborhood
- Projects
- Sports
- Where they grew up
- Politics (careful)

The point is that if you are a dog lover and they are a dog lover and you spend twenty minutes talking about Fido, it will be so much easier for you to ask a more personal question. Ultimately, you want them to listen when you have earned the right to propose something that is reasonable to them. Think about it like this. If a stranger walked up to you and asked you a deeply personal question or proposed you do something, your natural tendency is generally to say "no." If you don't like that approach, why would your seller?

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

1031 Tax Deferred Exchange

The Tax Man Cometh

So you sold an investment property. You are going to have some income, which is taxable, right? There's no way around paying taxes on the capital gain from the sale. Or is there?

Tax Deferral

A 1031 Exchange refers to the section of the Internal Revenue Code that provides for the tax-deferred exchange of real and personal property. The code allows you to defer the gain, but not get out of paying tax on the gain. There are no tax-removal plans, only tax-deferral plans. A 1031 Exchange allows you to reinvest all of the gain from a sale, every dollar you make. However, you can't touch the money.

For example, you sell a property and make $75,000. The escrow is holding a $75,000 check with your name on it. Prior to closing, you set up an account with an exchange facilitator to whom your escrow representative sends the check. The minute the check arrives at the exchange facilitator's office, a clock starts ticking. You have ninety days from that point to identify the next property you're going to purchase. Every cent of your $75,000 must go toward that purchase.

I have been asked, "Can you pay down your mortgage on your other properties?" Actually, that is a great question. I have asked it. The answer is "no." You must use the money for a new acquisition of like kind that is equal to or has greater value than the property you sold. The money cannot be used on your primary residence. Different rules apply for an owner-occupied house. Ask your accountant for the current rules governing your primary residence. As always with real estate, the intricacies are too detailed to discuss here. Ask your fellow investors to recommend a great 1031 Exchange facilitator and put that professional on your team.

Reach Returns offers a monthly CD program that goes into many of the logistical details of real estate. I think it's the finest product in the real estate education world today, bar none. Go to www.reachreturns.com for more information.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

The Real Problem with the 1031 Tax Exchange

What's the real problem with the 1031 Exchange? You have a ninety-day clock ticking to buy something of equal or greater value, or pay the tax. Do you want to be in a position where you **have** to buy another property? No, that is not what you want to do. So, here's a principle to grasp: You are always a buyer. You are a walking, talking buyer twenty-four hours a day, seven days a week. You are constantly looking to buy. And, only buy the 'right' properties when they become available. Be patient.

I see so many people get fired up and say, "I have to buy something because I only have ten more days to identify a property for my 1031 Exchange." That kind of pressure leads to mistakes. Recently, I heard a story about an investor who was down to the wire; eighty days had passed. Here's what he said about the house he was purchasing: "It's a piece of garbage. I hate it. It is in the wrong location. But, I've only got ten days left and I have to buy." He bought the house and it was a disastrous purchase. He lost all the money he made from the original investment and sale.

It Couldn't Happen to a Nicer Guy

I'll tell you a funny 1031 Exchange story, which could not have happened to a nicer guy. I'll call him Dick (not his real name). Dick is an investor who likes to buy properties in my area and he truly is a very nice guy. So, Dick sold a ten-unit building and had his $250,000 gain in a 1031 Exchange account. His ninety-day clock was ticking. Through one of my informants on the street, I heard that Dick was having a hard time finding a property to buy and was feeling the pressure of the 1031 clock. I leaked to his office that I was considering selling a twelve-unit building with rents of $6,000 per month, roughly $500 per unit. If I were the buyer, I would have estimated the building's worth at about $700,000 to $750,000.

Within minutes after my "leak," Dick called me. He had ten days left. He had not placed his money and if he failed to do so he would have to pay tax on the sale, which was more than $250,000. I did some research to discover everything I could about the property Dick sold (how long he had owned the building, how much he paid for it, the recent sale price, rental history, the tax bill). Here's a summary of our conversation:

"Hey, Greg, I caught wind that you might be selling Club Dayton."

I said, "How did you hear about that?"

"Oh, you know," he replied.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

“Well, I thought I might sell the building, but I haven’t decided yet for sure.“”

He says, “You know, I’d really love to make an offer to buy it.”

“Really, you want Club Dayton?”

“Yea, yea, you know if you are going to sell it.”

I said, “Well, I’ll tell you what, why don’t you call me in a few months and we’ll see how it goes?” Mostly, I’m just playing with him to see what he is going to say.

He says, “Well, actually I was hoping I’d be able to buy it if you are going to sell. Let’s just do it.”

“Really, you really want that thing?“ Knowledge is power when you negotiate. The more information I have the better. I continue, “Dick, I’m supposed to leave on Friday, (it’s Wednesday now) for three weeks, so why don’t you just give me a call when I get back?” I’m just having fun with him.

“Well, let’s get together before you leave. We both know real estate really well and if you’re going to sell, let’s just do it.”

“Well, okay. Alright, whatever you say.”

We get together. He asks, “What are your rents?”

I said, “I don’t know. The rents are so low, I just haven’t messed with them. I guess about $6,000 or so a month.”

“So, the building is worth what, $600,000 to $700,000?”

“Gosh no, I wouldn’t sell it for even close to that. It’s zoned commercial. You are a builder so you know the potential. I would not consider selling that building for less than $950,000.”

Gulp, “$950,000?”

I said, “Sure, you can raise the rents, it’s downtown.” I had him. What was he going to do?

He said, “Would you be involved in a note?”

“Yes, I have no problem with that, but I would want a considerable down payment.”

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

“How much is considerable?”

“At least $250,000 down.”

He said, “Well, okay. That won’t be a problem.”

A Wrap Note and All My Clauses

Bottom line, I sold the building to him for $950,000. He paid $250,000 as a down payment and signed a $750,000 promissory note. I had an underlying loan of $300,000 and we wrote a wrap note. The market interest rate at that time was about 8 percent. I wrote him up at 10½ percent. Then, I included all of things that you don’t want in your notes when you buy: due on sale clause, acceleration clause, default interest rate, all of these things. I mean, I just filled this thing with clauses to my benefit because he was a seasoned investor. That’s why a 1031 Exchange is dangerous.

You Just Turned the Screws on Yourself

If you ever have money in a 1031 Exchange account, the last thing you want to say to a potential buyer is, “I’ve got 1031 money.” If they are savvy, the next question out of their mouth will be, “Oh really. How many days do you have left?” You just turned the screws on yourself.

When Does a 1031 Exchange Make Sense?

A 1031 Exchange works when you have a property you want to buy under contract and in escrow. Then, sell your existing property and use the gain to purchase the new building. You will be able to sell and close both transactions within the ninety-day period. Eliminate the hunt and the pressure of the ticking clock.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Understanding “Basis“ for Tax Purposes

Uncle Sam’s Rules

Let me give you a brief education on an aspect of tax called a “basis.“ When it comes time to sell and you want to calculate your capital gains tax, you will need to know the “basis“ of the property.

At Time of Purchase

A long time ago, you bought a property for $500,000. The building was worth $270,000 and the land $230,000. When you bought the property its total basis was $500,000.

$270,000 (structure)
+$230,000 (land)
$500,000 total basis

The First Year

You can depreciate the structure over 27½ years. So, in the first year you were able to write off $10,000 (1/27th of the structure). You could not depreciate the land. After the first year, your basis was $490,000.

$500,000 (original basis)
-$ 10,000 (1/27th of the value of the structure)
$490,000 total basis

After Twenty Years

For each year or ownership you wrote off $10,000. After twenty years, having written off $200,000, your total basis is $300,000.

$500,000 (original basis)
-$200,000 (20/27th of the value of the structure)
$300,000 total basis

When You Sell

Twenty years after the purchase, you sold the building for $1.3 million. Here’s how you calculate your gain: sales price minus the twenty-year basis equals your taxable gain.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

$1,300,000 sales price
$ 300,000 your basis after twenty years
$1,000,000 your taxable gain

After the sale you owed taxes on the $1 million gain. The rate at which you are taxed changes over the years. Often the rate changes with a new presidential administration. This is one of the reasons why you have a CPA on your team. Check on the capital gains tax rate every year.

So, if you sell this building for $1.3 million and you have done nothing to your building, you get your million dollars. If the capital gains rate for that year is 25 percent, you are going to send $250,000 to the government.

Here's the Issue

Here's the primary issue. You bought the building for $500,000. As the building increased in value over twenty years, you kept refinancing it to take money out to purchase other properties. When you sold for $1.3 million, you owed $1.1 million. When the transaction closed, you walked out of the escrow office with $200,000. Unless you do a 1031 Exchange (presuming that the capital tax rate for that year is 25 percent) you have a tax bill due for $250,000. You are short $50,000.

Recapturing Your Basis

Let's say you sold for $1.3 million, but the next building you buy cost $1 million. You would owe tax on that difference. That's why you have to buy a new building of equal or greater value in order to defer your tax obligation via a 1031 Exchange. In essence, you transferred the tax bill to the second property. When you sell you can, again, keep transferring the tax obligation. Just be careful because you can't defer paying tax forever. At some point in time you have to go back and recapture your basis and pay the original $250,000 tax bill to the government.

It is a one-way train, which is why you hang on to your greatest properties, forever, end of story.

Appreciating What Depreciation Can Do For You

What happens with the depreciation? Let's take the one we used in the example above. You get a $10,000 depreciation write-off on your taxes each year. For each of the nine other buildings you own, you can also write off $10,000 depreciation. In total, you have a $100,000 depreciation loss. It's just a paper loss, a write-off that owning real estate allows.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

I look at the total depreciation loss ($100,000) as the amount of buy and flip properties I can do in that year. I can make $100,000 because my gain will be offset by the depreciation loss. Thus, my tax obligation equals zero.

Keep track of depreciation and use it as a business tool. But, the objective of owning a building is that your income stream covers your expenses. You are not trying to create a real loss.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

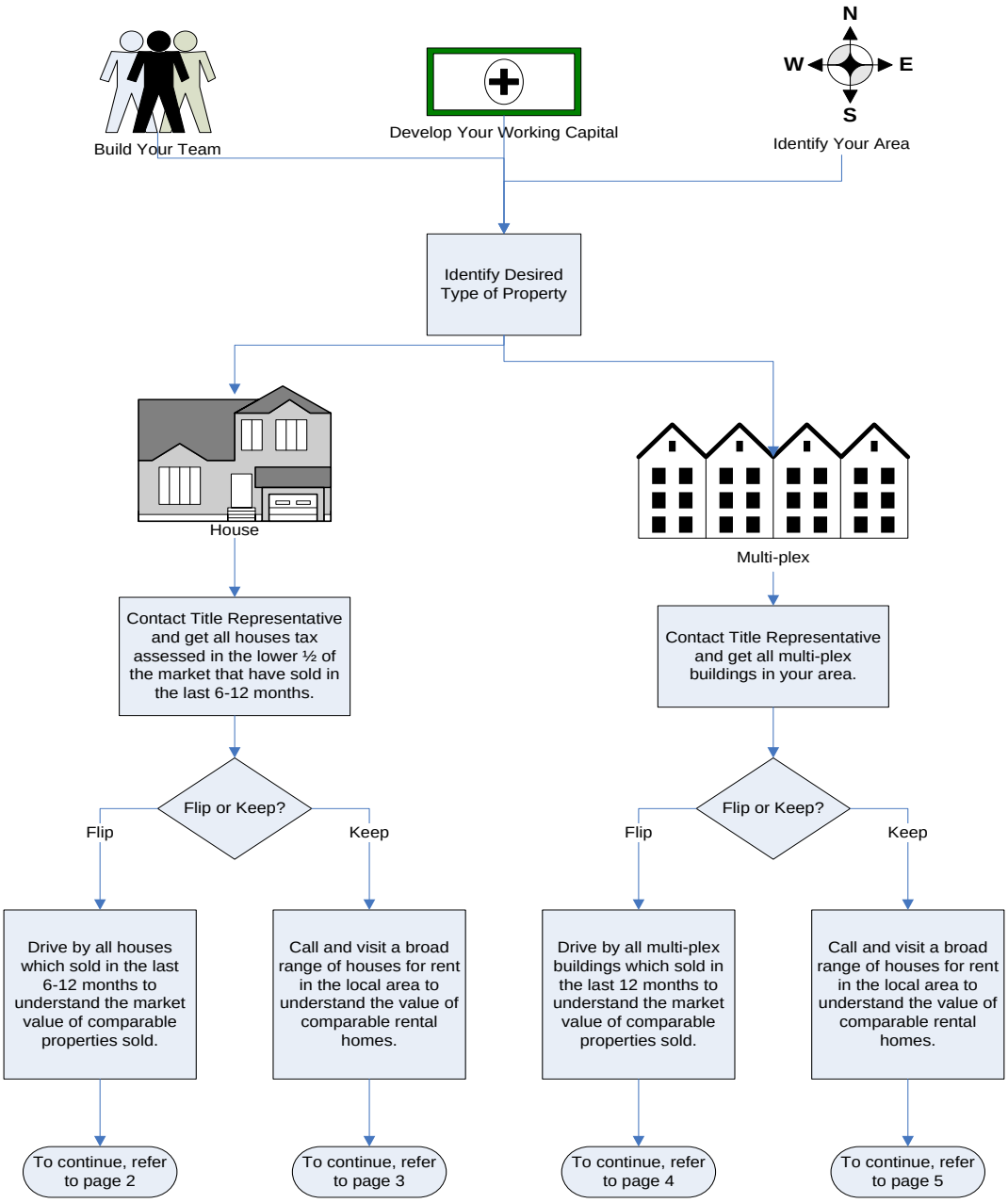
Homework

Your "To Do" List

1. **Develop your team.**
2. **Pick your area.**
3. **Become an expert on your area.**
4. **Establish bank relationships.**
5. **Create your world database.**
6. **Send your world letter**
7. **Practice negotiations (especially with For Sale By Owner (FSBO) properties. Build relationships.**
8. **Get an active list of properties (single family homes in lower third for flips and all multiplex for holds).**
9. **Send bird letter.**
10. **Be available after they go out.**
11. **Is the bird a flip or hold?**
12. **Develop relationships.**
13. **Practice writing deals.**
14. **Get your bird!**
15. **Drop us a line when you have it.**

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

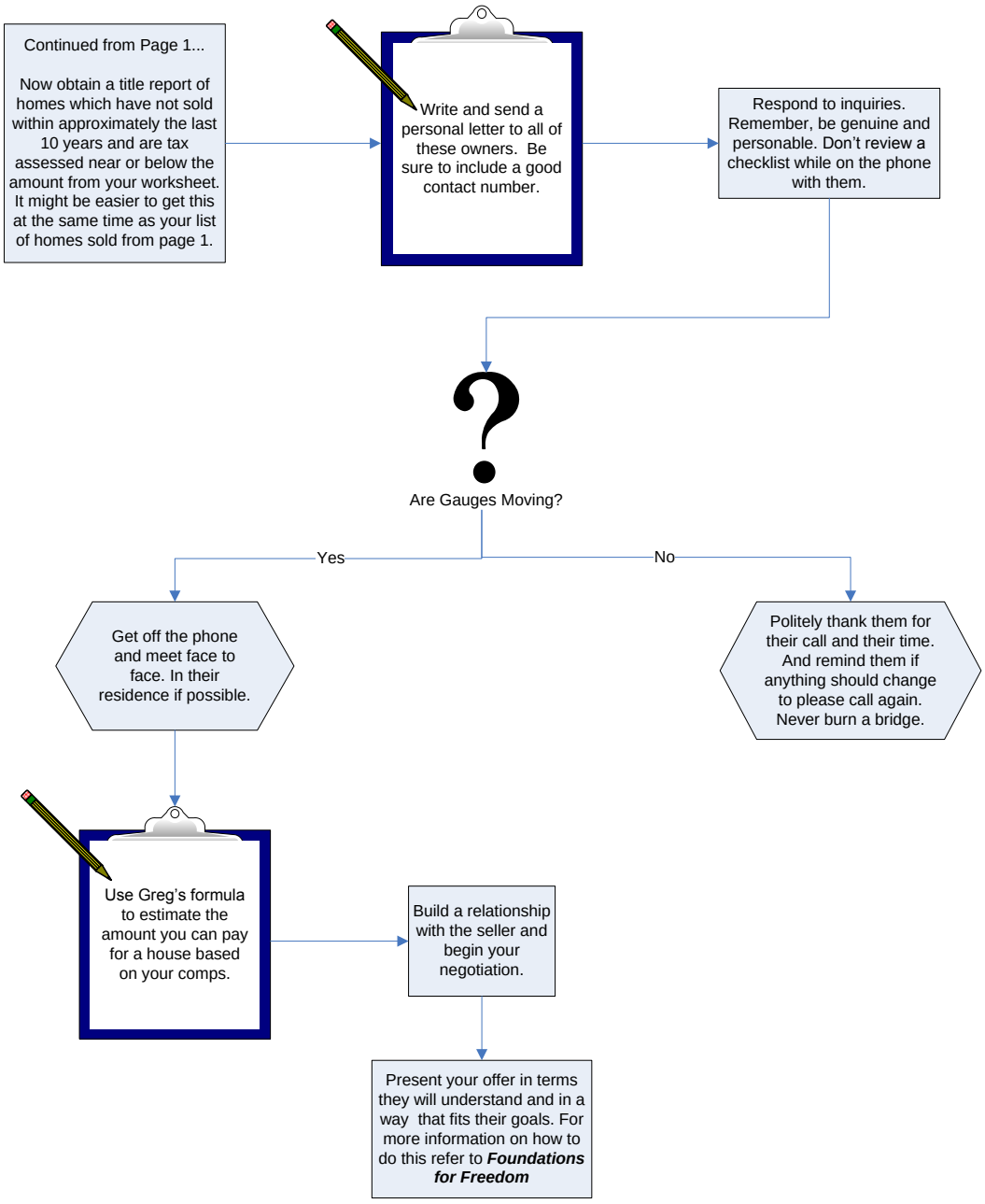
Getting Started: A Visual Guide



© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Getting Started

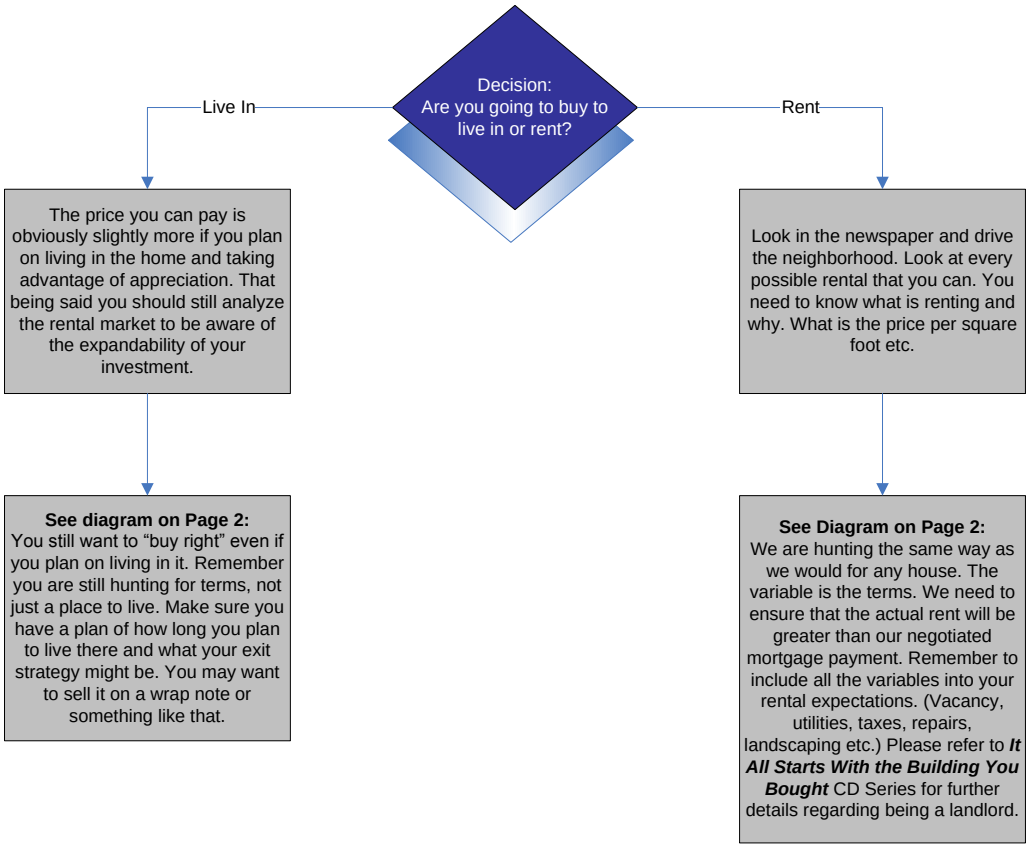
Page 2



© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Getting Started

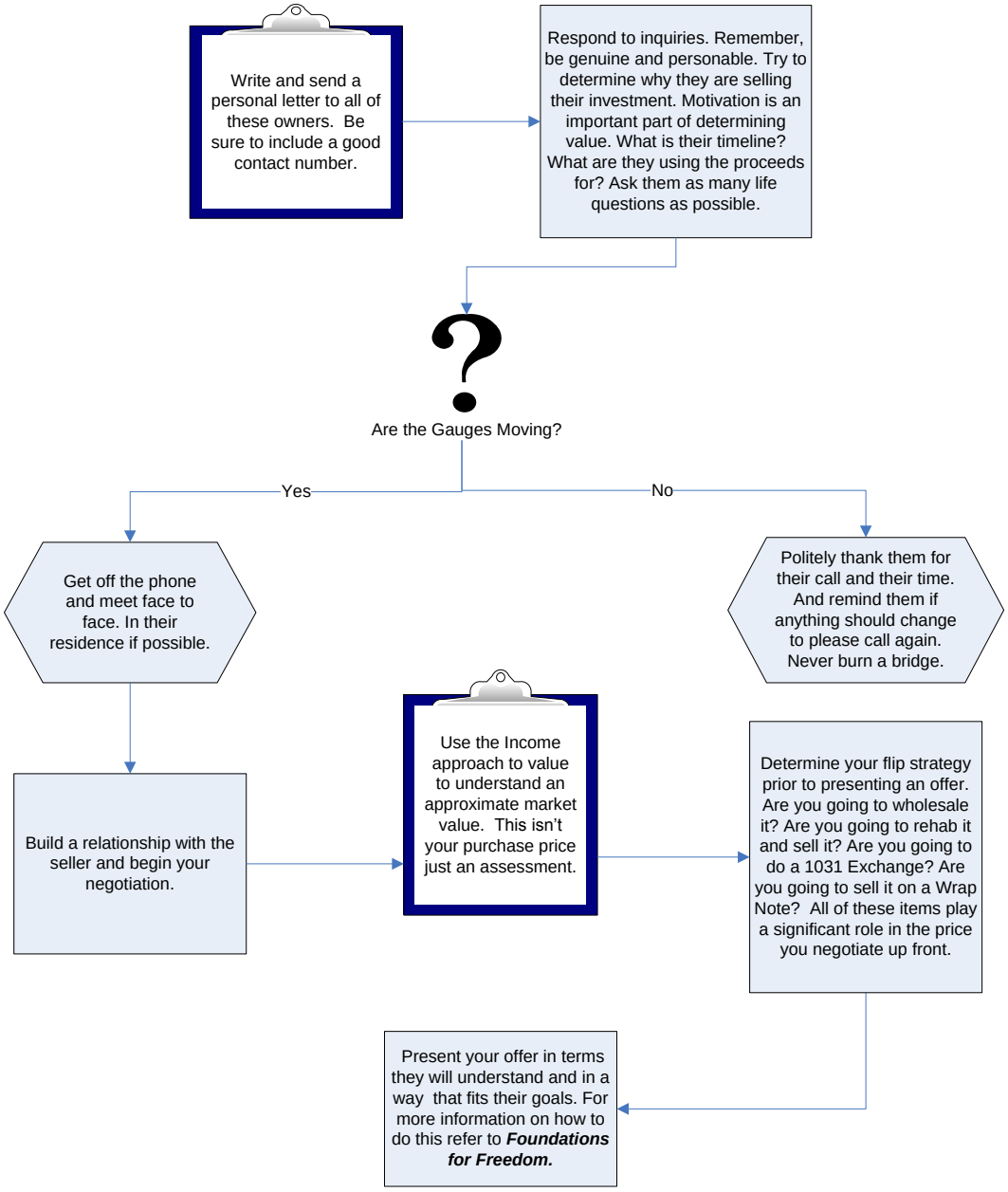
Page 3



© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Getting Started

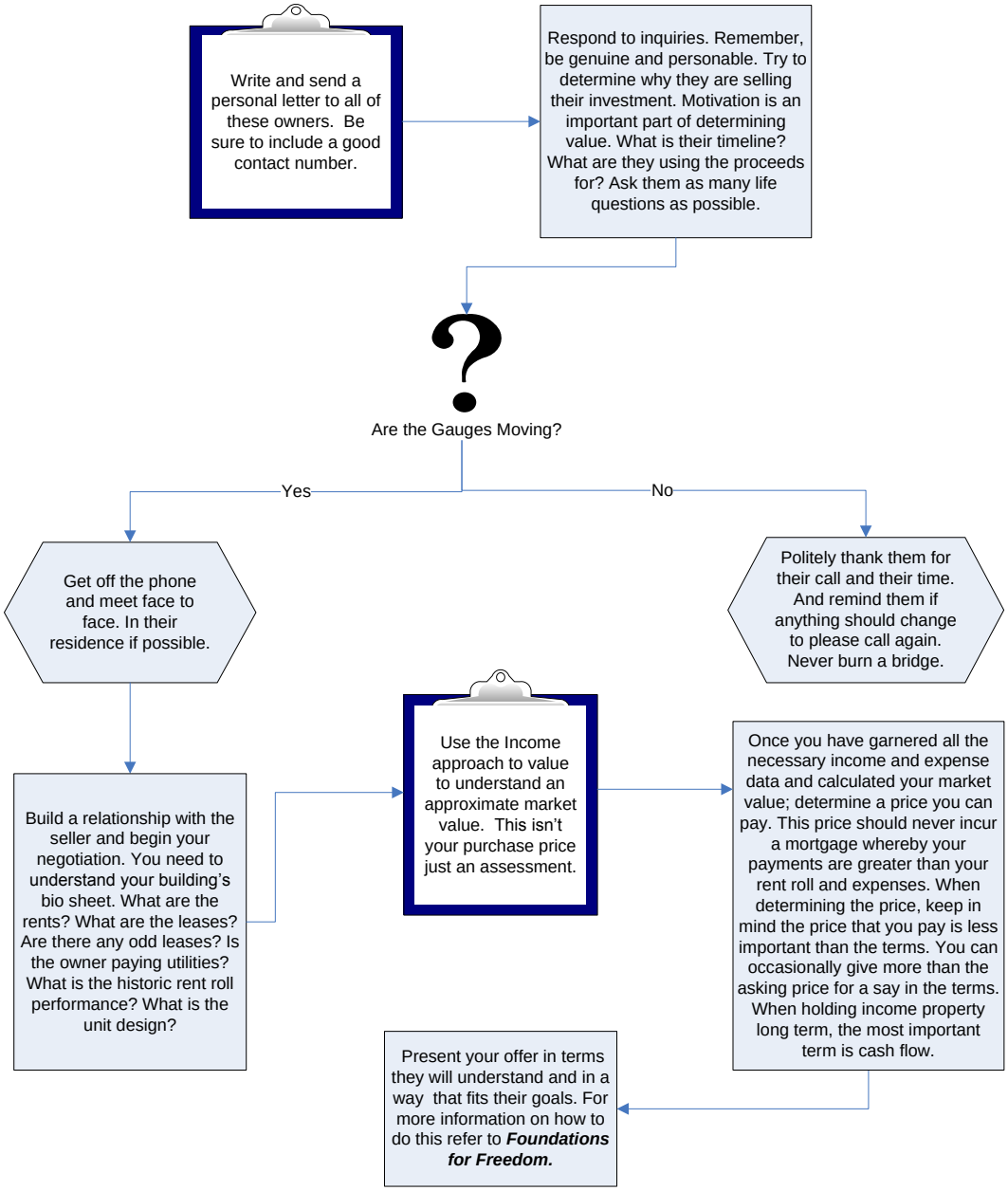
Page 4



© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Getting Started

Page 5



© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

You Can Do This: Jane's Story

Add Those Three Things to the Blender

Let's go back to the very beginning: ordinary people doing extraordinary things by applying work ethic, mindset, and education—a toolbox that you can use fluently. Add those three things up, throw them in a blender, and I have seen the most unusual characters become millionaires in real estate investing.

Jane's Full-Time Job

This is a story about Jane, a very close friend of mine. I talk about this because if you knew this woman, she would inspire you. She started investing at the age of eighteen, right out of high school while working for the federal government in a Social Security office. She worked there thirty-two years, which tells you a lot about her personality. In thirty-two years, she missed two days of work. Up at five o'clock in the morning, Jane drove to the Social Security office. Thirty-two years goes by and at age fifty, Jane retires. After thirty-two years of working full time for the federal government, her entire retirement package is $1,600 a month.

Jane's Part-Time Job

If the story ended there, Jane in her retirement would be working at Target on the side, or someplace like that, to earn enough money just to live. But, Jane did two other things in her life. In 1972, she bought a house in a downtown neighborhood for $26,000. She saved for a down payment and bought this house in Ballard. She cleaned it up, worked on it, painted it, and got the yard looking nice. She did everything herself. In 1984, Jane had the foresight to buy a six-unit apartment building. She refinanced her house to receive the down payment. Jane paid $180,000 for a 1926 classic building.

Over the next sixteen years, Jane continued to go to work every day. Occasionally in the evenings and on Saturday, she worked on her building—painting, picking up trash around the dumpster,

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

pulling weeds, vacuuming the stairwells, changing light bulbs. She kept her rents low so nobody ever moved, old-school property management. In sixteen years, Jane owned her home and the apartment building free and clear.

Comparing Her Jobs

Thirty-two years working a job netted Jane a retirement income of $1,600 a month. Her part-time job as a real estate investor for sixteen years also contributed to her retirement. In 2001, she sold the apartment building for $750,000. Her home at the time was worth about $400,000. Jane is a millionaire. She only had two buildings: a house and a six-plex. Jane's story is about work ethic.

Your experience as a real estate investor can be as big as you want it to be. Yours can be a simple story, like Jane's. At the heart of your story, though, is the answer to the question: What do you want? We'll come back to that question after I finish the Plain Jane story.

When Jane sold her building in 2001 for $750, 000, the person who bought it gave her $150,000 down and signed a $600,000 promissory note with 7 percent interest. Her income stream from selling that building is $4,000 a month. She has deferred capital gains, because it's taken on a note. For her lifetime, Jane has $150,000 cash and $4,000 a month income.

Thirty-two years of full-time work earned Jane $1,600 a month. Sixteen years of part-time work earned her $4,000 a month and $150,000 on the side. One building provided that kind of retirement income, vs. trading working hours for dollars. Add to the picture that Jane also owns her home free and clear.

How I Met Jane

How did I meet Jane? I bought her apartment building. When we walked through the building, I had not seen the inside before. I could tell from the outside, though, that it was going to be unbelievable. We walked through and it was immaculate, like an admiral's quarters with polished hardwood floors. There was literally nothing to do. Nothing! Not even a light bulb to change.

When you know a lot about real estate like I do, and you meet someone like Jane, there's a huge amount of responsibility that goes with sitting down and asking about her objectives—what she

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

wants. As an investor, I have my objectives. I know what I'm trying to do. We sat down and we personalized the deal; we handcrafted it perfectly to meet her long-term and my long-term goals.

Do you get it? What I'm teaching you is a new game. No more working solely with a real estate agent and never meeting with a seller. This is buyer and seller (me and Jane) sitting down together at a table working out the deal. Then, we let our team of professionals review the paperwork to make sure it's a win-win agreement that meets everyone's objectives.

Remember

Work ethic. Successful real estate investing requires consistent, dedicated, and focused work.
Mindset. Successful real estate investing requires a new way of thinking and a new pair of glasses through which to view the world.
Education. Successful real estate investing requires fluency in the tools of acquisition and finance.

Without question, every person I know who is highly successful in real estate investing has those three things going for them.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

You Can Do This! Commit to Yourself

Just One a Year Will Make a Difference

I advocate that everybody try to acquire at least one property a year with the intention of hanging on to it. It'll change your life. Is it work? Yes, it's work. I hear people snivel and whine about it all the time, but you know what? It's not that much work. And, even if you can just buy one property that meets a simple acquisition criterion and hang on, it will change your life. Commit to yourself. Cross your fingers and swear that you will never sell it. Do something, but hang on! The primary rule of hanging on to a property is simple—oh, so simple. What you collect in rent has to cover your expenses of the building. It has to have a positive cash flow.

If collected rent does not cover expenses that is a negative cash flow. Your hard work is feeding that property. Would you ever do that? Sure, you might for a short period of time. You may need to feed a property until you go in and clean it up in order to raise rents and improve the income stream.

Are there properties out there like that? Are you asking yourself, "Why hasn't my broker called me about those kinds of properties?" You are going to create those kinds of opportunities because you are committed to working hard, thinking differently, and becoming educated. You are in the process of becoming fluent with real estate terminology, learning to see something that no one else can envision, knowing every aspect of your market, and employing the principles of location, terms, and expandability.

Your phone will start ringing and you will meet sellers with whom you will develop relationships. You will see where they live, understand what they need, and ask them questions. You will create agreements that meet your needs, as well as the sellers'. You will buy properties where rental income exceeds the expenses. It's that simple. In the thirty-plus years that I've been doing this, the process of real estate investing and its objective have never changed.

Hang On

I heard an interview with Sam Walton, the founder of Wal-Mart. I'm not sure who interviewed him, but he was asked, "What is your secret to all your success?"

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

He said, “That’s easy. When I got knocked down I got back up.”

I want you to be like that. You probably are already. If anything challenges you, I want you to tackle it head-on. How high does the hurdle have to be before you quit? This is hard work. It can be frustrating. You’re going to get a “no” ninety-nine times before a “yes.” Focus on the one “yes.” Don’t take the “no” personally. Know who you are, know what you want, and when you get knocked down, stand back up.

I think that we all need to raise our bar in life. That’s part of why I do this. I am good at real estate and I want to teach you everything there is to know about real estate investing. But, I do this because there is a much bigger message that I have to tell people.

You Can Do This!

We’re better than we think we are.

We’re stronger than we think we are.

We’re more able than we give ourselves credit for.

This stuff is hard. It’s a lot of work.

But in the end, it’s worth it because it will make a difference in the quality of your life.

I want a message from you when that bird is tied up and in the cage. That’s a good day for me.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Other Reach Returns Resources

At Reach Returns we offer a continuum of education for real estate investors. From the first-time investor who wants to buy a starter home to the more sophisticated investors looking to support themselves entirely with their investments, we have seminars, audio recordings, and coursework to support these goals.

The following programs from Greg Pinneo are available in a variety of formats:

RECON: Remodeling and Construction Reconnaissance for Investors:
The most prevalent topics in the real estate investing world are Remodeling and Construction. After all, it makes sense because real estate is construction and construction is real estate. RECON is Reach Returns' newest product and something we are very excited about. Reach Returns takes you on-site to remodel and construction projects throughout the country via DVD and explains what to do and what not to do from the eyes of an investor. Greg uses his experiences of over the past thirty years as a general contractor to walk you through the pitfalls and strategies that only experience can provide.

Wisdom for Wealth: Acquisition & Investment Strategies
This is where it all starts. This is Greg's signature real estate investment strategy class. It is where Greg reveals how he got his start, what he thinks the opportunities are in the current market, and how to take advantage of them. ***Wisdom for Wealth*** is a pre-requisite to ***Foundations for Freedom***.

Foundations for Freedom: Finance & Negotiation
This is the sister class to ***Wisdom for Wealth***. It takes the strategy you have learned and applies it very practically to enable you to negotiate and write your deal. Together, ***Wisdom for Wealth*** and ***Foundations for Freedom*** give enough information to get you going.

Negotiations that Pay: Advice from real estate Maverick Greg Pinneo
If you are looking for more information on negotiation, this is it. Greg spends hours discussing the finer points of seeking agreement. He includes a case study with a role-play scenario that illustrates how he talks with sellers and works with them to reach a deal that works for them and for him.

It All Starts with the Building You Bought: Getting Better Results in Property Management
Whether you are just thinking about purchasing a building and wanting to do your due diligence on what it will take to manage it or if you already have a building, this is your chance to learn from Greg's thirty years of experience. Maintenance, leases, pets, problem tenants, and keeping your building full and profitable—it's all here.

Deliberate Success
This is Greg's take on the principle that makes for success in work and more importantly in life. Told with Greg's humor and rousing energy, this is a call to action that you should answer.

Monthly Coaching CD

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

In this month-by-month audio series, Greg keeps you going with an hour full of new content, tools, philosophy, and case studies. The philosophy helps you stay on track and motivated and the tools increase your ability to do deals. Greg also pulls in his advisors and mentors for great advice in their areas of specialty. Occasionally, he persuades students to present their case studies from their expanding portfolios. You get a mix of it all.

Power Players Mentoring Program

For those few individuals who want the most focused and advanced experience, we offer a mentoring program directly with Greg. This mentoring program is a retreat with world-class education. Students from Power Players report that they have achieved a high level of success following attendance at the Power Players program and appreciate the ongoing support they receive from each other and the Reach Returns team. If you are interested, call us right away as they tend to fill quickly.

Please check our Web site for up-to-date information on seminar dates and locations as well as products.

We appreciate you entrusting your education to us and look forward to hearing about your success.

Greg & The Reach Returns Team

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Essential Wisdom for Wealth

Introduction

This summary was produced to encapsulate the summary concepts contained in ***Wisdom for Wealth*** in a concise format. Each of these is discussed further in our audio recordings and coursework and you will find that the titles below correspond to the tracks on the ***Wisdom for Wealth*** CD. This was devised as a quick reference to help you understand and act upon the core curriculum contained in ***Wisdom for Wealth***.

A Fresh Perspective

I would like to think that after a day of ***Wisdom for Wealth*** you will look on real estate Investing with a fresh perspective. I anticipate that you now see that possibilities exist that didn't before. I hope that you are motivated to take action, have made some space in your life to focus on your acquisitions and that you know where you are going and ***why*** you want to get there.

Ordinary to Extraordinary

The brief history of me is that I was not born into money. I was middle class with parents who worked hard and taught me those ethics. I put myself through college and bought my first home as an alternative to student housing. I bought this home directly from the seller and the rent I collected from my two roommates reduced my out of pocket mortgage expense to $6.10 per month. With this revelation, a new real estate investor was born.

Mindset

I realized that if I could collect enough rent to cover my monthly mortgage and expenses, with time, I could own a building free and clear. In thirty years, the equation has not changed.

How do you get from owning nothing to a building that covers all its expenses?

My version is about people. This is about creating a relationship between the seller and me. I create a custom crafted agreement that meets my objectives but also meets the needs of the seller.

Success in real estate and in life is first and foremost a function of mindset. Know what you want. Be open to the possibilities. Get educated in your chosen arena. Find a mentor who has done what you want to do. Act with purpose and tenacity.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Do not disqualify the possibility before the possibility disqualifies itself!

Speculator/Investor

The first distinction I would like to make regarding real estate investment is that there are Speculators and there are Investors.

- Speculators go to unproven areas anticipating that changes will occur that will make the land more valuable: a good example of this is buying land around the expected site of a new freeway off-ramp.
- Investors go to existing, classic locations where the market values of sales prices and rents follow more predictable patterns. A classic location is romance within about a ten-mile radius of a major urban employment and finance center. For an apartment building, think of the classic brick 4-plex with great architecture and hardwood floors within walking distance of the theatre and coffee shops. This is a location that will consistently be in demand from a renter's perspective. For a house, think of the established neighborhoods with unique character rather than the sprawling suburban tracts.

The second distinction is Investment real estate and Oz.

- Investment real estate must meet stringent criteria. You need to structure your deal profitably.
- Oz is just a property that you like for your own reasons. It does not need to be justified as you are not counting on it to make money for you. If you want a cabin up in the mountains with acres of trees, good. Just don't confuse this with investment properties.

Questions of Proposition

A question of proposition is one that can be answered "yes" or "no." In order to ask a good question of proposition, you have to know what you want and understand the implications of what you are asking. Then, be bold and ask questions of proposition. Remember, *The answer to any question you don't ask is "no."*

The Slow Dance

One of the things that is critically important in any relationship is to be where you are. Remember when you engage with a seller face-to-face you are starting a relationship. So, when you go to meet a seller, take off your watch and give them your undivided time and attention. If you look at your watch, it means you are thinking of the next place you need to be. You need to be prepared to sit and discuss those things that are important to your seller at ***their*** pace. It is that sincerity and attention that will help ignite the relationship.

Every relationship proceeds at a different pace. You need to keep in touch with that seller at least quarterly until the time is right for them to sell you their building. The dance does not stop there as you make payments on a promissory note and perhaps later as an investor. It has changed faces

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

but it continues. Persistence is the key. A “no” today, does not mean a “no” tomorrow. Open the door and let the dance continue.

Develop Your Team:

If real estate Investment is to be your sport, remember it is a team sport, not an individual one. Have frequent meetings with your team members. Keep them up to date on what is going on with your world.

Unsecured Lines of Credit

Many people who are just starting out struggle with imagining how to get their initial capital for investing. Develop lines of credit, perhaps starting with a secured line of credit paid on-time and then ask for it to be unsecured. Think in multiples.

O Captain, My Captain – The Three Pillars

By now you should be able to chant – Location, Terms, Expandability. These three need to be present in a solid investment. Every mistake I have seen in real estate breaks one or more of these principles.

Location

Again, one word – Romantic. While many feel they cannot afford to invest in a classic romantic location in a major metropolitan area, I say you cannot afford not to invest in those classic locations. It is the classic location that has enduring value. It is views, green space and quaint cafes. It is what the majority of your buying market wants. It is what the majority of your renting tenant base wants. It is not this month’s flavor. It is not the generic suburban sprawl location. It is romance. It is the thing for which we live!

Two Categories of Properties

Once you have arrived at the correct location, there are two categories of properties: the Buy & Sell and the Buy & Hold. You need to understand which of these two you are pursuing to take the appropriate steps.

Terms: Buy & Sell

In a Buy & Flip, you need to have a clearly defined exit strategy before you even start. You need to buy your property in the lower third of all homes in order to be able to sell it after your remodeling, carrying and selling costs in the lower half of all homes sold in this area. Remember Toyotas, not Jaguars. To know the difference, you will need to understand the comparable sales in your area, intimately. How do you do that? Remember the title representative? You need to do

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

extensive research on everything sold within the last 12 months in your area and price range. That will help you determine a solid number at which your flip may be sold within 60 days. Then you will be able to recognize a true "bird" when you see it.

One good way to find a "bird" is to send letters to owners of property where the tax assessed value of their property is in the lower 1/3 of the market and whose property has not sold in approximately ten years or more. The reason why you are looking for properties that have not been sold in the last ten years is that you are looking for odds in your favor and theirs. You are looking for properties where the owner has likely already experienced some appreciation and that they have had time to pay down their debt. Thus, you are looking for someone who has equity in his or her property. This equity puts one more tool in your collective tool belt.

In the Buy & Sell, or the Buy and Assign, the most important negotiable term is the purchase price.

Terms: Buy & Hold

This is my love and should be yours as well because this is the place from which wealth comes. Think of the Buy & Hold as a field. We're going to buy the field, plant it with corn and harvest it forever. It is the leveraged asset that appreciates over time that will provide on-going income for you. In the Buy & Hold, price is not the issue, cash flow is! Ask yourself, how many buildings could I own where the building covers itself? An infinite number.

When you begin to negotiate, try to meet the seller in their home so that the clues to help you determine an offer that will work for both you and the seller are at your disposal. The best negotiating skill is asking questions and listening.

In the Buy & Hold, purchase price is not at all the most important term, cash flow is! Monthly payments can be amortized, interest only or even have a short-term negative amortization.

Ideally, you will want to involve the seller in the financing. To do this you need an owner with equity for added flexibility to create a custom deal. This is why you are looking for properties where the owner has had them for some time as time generally equates to equity. Keep in mind, however, this is not always true as you may find an owner who did a recent refinance on a home they have owned for 20 years and taken a considerable amount of money out. Similarly, you may run across a seller that just purchased their home last year but paid all cash and owns the home free and clear.

When it comes to identifying the right building, you want high-density properties where there is a low ratio of dwelling square footage to land square footage. Think of an eight-unit with a strip of landscaping surrounding the building compared to eight units in a duplex setting where there is an acre of grass to mow. More is not always better. Keep in mind the cost of maintenance.

Also, when you are looking for a building, keep in mind the amenities that renters most often request like hardwood floors, off-street parking and storage.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Dealing Directly with the Seller

The objective up front is to involve the seller with financing whenever possible. The primary reason is that it allows you the flexibility to create a deal that works. When you deal with the bank, it is their way or the highway, and oh by the way, their way includes fees that cost you money. Also, when you eventually go to sell the property any terms you negotiated are likely to no longer be relevant, as the bank will normally insist on a "due on sale" clause. When you negotiate directly with the seller, you may be able to keep the terms, long after you have already sold the property.

Expandability

Expandability is changing the picture in a way that makes you money. Expandability is the entrepreneurship, the vision, the insight, the perspective that you're seeing something that someone else didn't see. It could mean something as simple as mowing the grass and painting the walls. It could be adding paid parking, laundry machines or storage units. It could be as complicated as taking a little house that is sitting on a lot which is zoned for ten units, picking it up, moving it down the street to a new lot, then taking the original lot and building a ten-unit multiplex.

Let me give you an analogy. Location and terms are the cake. Location and terms are critical. You cannot give them away. Expandability is the frosting on the cake. The cake would stand on its own without the frosting but the frosting makes it all the sweeter.

Often to recognize expandability, you must know zoning regulations for your area intimately. To get this information, go to the building and planning department for your city or county and ask for it. They likely will have maps, a regulation or code book and perhaps a master plan that indicates what the future plans are for the areas that are of interest to you. You may even be able to get some information on-line.

Deliberate & Proactive

Okay, you know what you are looking for: Location, Terms, Expandability. You can drive to that romantic location and find the perfect six-unit brick 1920's building or that lovely starter home with the covered porch complete with swing. Now what? How do you live? Deliberate. Proactive. Contact the owner and ask them to sell you the building. Now you could do this one at a time or you could contact people by the hundreds or thousands. I do it by the thousands by sending out letters.

If you are looking for a single-family home, use tax assessed value as a guideline to target homes. You should be looking for homes that are tax assessed in the lower 1/3 of the market in your area. Why? Because you need to bring the home back on the market in the lower half of all homes sold. Remember, we're dealing in Toyotas not Jaguars. Now, if rents are such that you can buy a house and cover your mortgage and expenses then you might keep it but more than likely single-family homes are for your personal use or to buy and flip.

For multiplex, send a letter to the owner of all the buildings because the price should be based on rents, also known as the Income Approach to Value. With the right terms, a multiplex should cover itself and your ability to finance this building will be a reflection of the income statement of

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

the building. It is a business unto itself. Think of it this way. Is it a profitable business? Do the revenues collected (rent) cover the expenses (mortgage, taxes, insurance, maintenance, etc.)?

Over the years, I have sent a number of versions of this letter but it always has certain elements. First, it is a hand-addressed plain white envelope with a return address but no name. Second, it is a straightforward, sincere letter written using simple language at about a 10th grade reading level. You have several examples in your materials but the best letters are ones that are a personal reflection of you and your style. If you are buying a home for your personal use, say that! Many people want to pass the baton to someone who will respect and care for it.

Handling the Response

Based on my experience you will get about a 3 percent response to your investment letter, likely you will get a bit higher if you send out a letter looking for a home for your personal use. So, say you sent 1,000 letters, you would expect to get about thirty calls. Of those thirty calls, expect about ten to be irritated, ten to be simply curious about how you got this information and ten to be sincerely interested.

If the angry calls dissuade you from doing this then perhaps this is not the sport for you. But I think you can do this. Just be polite and get off the phone as soon as possible. You want to be available when the right call comes in. The right call where the owner just thinks it is miraculous that you have sent this letter because they were just thinking about selling and hasn't this just come at the best time. Well, "why yes it has" and so the dance begins. Now you will need to match the persona, the pace and the tempo of the person who calls and ask questions. Your questions should tell you if you should get off the phone and meet the seller in person.

Prepare to Meet the Seller

When you have determined that all of the gauges are moving in the right direction, you need to meet with the seller face-to-face. Where? At the seller's residence. Why? Because it will give you more clues as to how to custom design this deal.

After the meeting has been set, your next call needs to be to the Title Company to get a full property profile and a profile of every other property they own in the general area. Where do you get this report? From your team member, the Title Company representative.

Listen to the Rhythm of the Dance

You have arrived at the meeting with the seller. You know they have a great property. You know that you are interested and the dance has begun. The dance may go on for a considerable time before that seller is ready to sell you their property. It may even go on for years. During this time, you need to keep in touch at least quarterly. Drop them a note. Call them. Stop by. Let them know that you are the buyer of that property.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Understanding the Seller's Situation

Having been face-to-face with hundreds and hundreds of sellers after all these years, I have observed that there are several common threads that come into what a seller might think or say about the terms you are going to propose in purchasing their property. We would like to involve the seller in the financing of the property. The seller needs to feel on board with that idea. Most of the time they are not, initially. Most sellers have the idea that the way it "works" is that they sell the property, get a lump sum of cash and they are done and gone.

It's up to you to be more educated and help them understand the implications in terms of capital gains tax issues and have a solution for them via an installment sale that can defer their taxes. Also, for the elderly, having a lot of cash in the bank is not a great idea if they are in failing health, because Medicaid only kicks in when a person's liquid cash reserves fall below a very small amount. Consequently, if they sell this property to you in the form of a Promissory Note, it does not count as liquid assets whereas if they get a lump sum, that lump sum needs to be nearly depleted before their medical benefits will kick in.

Often times when I ask the seller what they are going to do with the money from the sale, they say they are just going to put it in the bank. When I know they will likely only get a 2 percent or 3 percent return on that money given today's interest rates, isn't it a logical question to come back and then ask the seller if they would instead like to get 6%, secured by the property they already know?

Promissory Note & Deed of Trust

When we involve the seller with the financing, we would like to give the seller a down payment and the balance on a promissory note. Think of the promissory note as the "I Owe You." It has the purchase price, the down payment, the interest rate, when all payments are due, and the maker/beneficiary clause. All of that is on the note.

The deed of trust is the collateralization for the promissory note. It says that if you don't pay on the note and meet all its terms and conditions that the collateral for the note is the property. It doesn't necessarily have to be the subject property (the one you are buying from them). It just needs to be a collateral property that is equal to or in excess of the outstanding balance on the note.

For more detailed instructions on how to write up the promissory note and deed of trust refer to "Sample Escrow Instructions: Purchase with Seller Participating in the Financing" which is included in the coursework for *Foundations for Freedom*.

Harvesting the Field

When you find and acquire a great property in the right location you are like a farmer who has planted a field and the corn is growing. When I say growing, I mean that the cash flow and the equity are growing. The harvest is $1,000 positive cash flow, payment on $200,000 borrowed at 6 percent interest. Now its time to buy another field, plant it, and let it grow.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Changing the Income Stream to Change the Value

In the world of multiplex properties, one of the simplest forms of expandability is changing the income structure. If we change the income structure of the building, we change the value of the building. If I change the income stream of the building by $100 per month at 6 percent interest, I have just changed the value of the building by $20,000. So, I could borrow $20,000 and cover the payment with my increased cash flow.

I would love for all the properties I buy to simply be based on the current income stream. They don't all work that way. I have purchased properties, understanding the increased risk, where the income stream does not cover my expenses on day one. When I purchase such a property, it is because I am making an informed decision about what I think I can do with that property, such as increasing the rents. To make this informed decision, I have done by homework. For instance, I make appointments as a prospective tenant to see other available units in other buildings in my area. That way, I know what a unit should rent for. So, when I see a building with units that are renting for $600, I know that I could get $800. I don't guess. I know. When I go into a building, I know what I can get for rents, what it will cost to make cosmetic changes to the units, and what other things I can add, like coin-operated laundry.

The other thing you have to ask yourself is, "Are you cut out to raise rents on people who have been in a building for a long-time at below market rates?" I realize that if I raise rents too high and the building stays empty, then the joke's on me. I run a for-profit business. I expect to make a profit on a building and I am prepared to do what is legal and necessary to make it work. Don't be afraid of criticism or find yourself feeling obligated to tenants used to paying $400 for a $700 a month apartment.

Property Management

After you have purchased your great building in a great location now, the next step is to hang on, which takes efficient, structured, and deliberate management of your asset. You need to go by the building frequently. You need to keep the building tidy and well maintained. The quality of the tenants you get in this building is largely a function of the building itself and how well you maintain it. Leases need to be written carefully. Move-in inspections need to be done thoroughly. Move-in inspections become your roadmap when the tenant moves out. Get first and last month's rent upfront. Always. No exceptions. Get a security deposit and a pet deposit, if you accept pets. As for smokers, you will need to decide on your policy. Personally, I don't accept smoking because the effects are so damaging to my building. If you do accept smokers, I recommend getting a **non-refundable** cleaning deposit. Stagger the leases so that no more than 10 percent of the leases come due in any one month. These are the kinds of things that anybody can do if you care, but you have to decide to care.

You also need to know the landlord tenant laws for your area. For instance, in my area, rents are due on the 1st but tenants have through the day of the 5th to get the rent to me before the rent is considered late. On the sixth, even if it falls on a weekend or a holiday, I am issuing a three day pay or quit (vacate) notice per my rights as a landlord. If I don't get their full rent, plus late charges, plus the charge for the pay or quit notice, I am applying their last month's rent and moving towards an eviction.

Remember that your tenant base is, in large part, a function of your location. If you want an easier time managing your tenants, pick a building that is in a good neighborhood – calm and

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

professional. Stay out of university towns and neighborhoods and other areas with highly transient populations or you will truly work for every dollar you earn as a landlord.

At the end of each year as part of your wrap-up, I recommend you do what I do. I take out all my amortization schedules and record the new principle amount owing and the new value of each building. Automatically, my spreadsheet calculates these figures and I see how much I earned for just hanging on.

For detailed information on how to manage your property, consult our publication, "*It All Start with the Building You Bought: Getting Better Results in Property Management*."

Down the Line, The Exit Plan

Many years down the road after owning this building there may come a time when you choose to sell. Then the question becomes, how do I sell intelligently? Like the seller you bought the building from, you will likely have capital gains tax issues. (Keep in mind the rules are different if this is your principal, personal residence.) The options that we have available to us to defer taxes are to buy a building of equal or greater value, or to sell on an installment sale.

You may want to explore the option of a 1031 tax deferred exchange into a different building. Just keep in mind the risk factors of the new building. For me, having a residential property is a safer bet than commercial property. A place to live is right up there with food and water.

My preference is to either die with a building or to write up it on an installment sale, with a small down payment and interest only payments. That way, I just pay taxes on the interest income. I also include huge pre-payment penalties. If my buyer wants to pay me off earlier, I want to write in enough of a penalty to cover my tax bill.

When it comes time, consult your tax professional and explore the options that are available to you given your situation and your estate planning. Remember Jane's story. It only took two buildings, her home and a six-plex, well-bought and well-sold to provide for her retirement.

You Can Do This

By educating yourself, you are part of a small minority of people who ever invest in educating themselves beyond college. You should be congratulated because you care enough about where you are going, about your future or maybe your children's future. It is precisely this difference, this willingness to take action and work that will make a difference in your future.

You have just completed **Wisdom for Wealth**, which is an overview of the strategy that I pursue in acquiring investment grade real estate. What you have learned is just a doormat to the house before you. So now, like any good strategy you need to immerse yourself in the details, specifically the details of terms. The follow-up class to ***Wisdom for Wealth*** is ***Foundations for Freedom***, which covers the nuts and bold of the terms involved with a real estate transaction. We explore multiple case studies from the simple to the complex on how deals came together for me and how they can come together for you.

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Contractor / Construction/Remodeling

Check List

If you are considering remodeling or building, here are a number of items to review in order to help ensure you are not forgetting something in your planning and budget.

DESCRIPTION	SUB-CONTRACTOR	ORIGINAL ESTIMATE	REVISED ESTIMATE
Clearing-Grubbing			
Earthwork/Excavation			
Finish Grading			
Piling			
Caissons			
Shoring & Bracing			
Retaining Walls			
Fencing			
Site Drainage			
Site Utilities			
Roads & Walks			
Grading			
Storm Drains			
Sanitary Sewers			
Curbs, Gutters			
Street Paving			
Site Improvements			
Street Lighting			
Street Signs			
Lawns & Planting			
Landscaping			
Sprinklers			
Fire Hydrant			
Demolition			
Sewer Connection Labor & Materials			
Water Connection Labor & Materials			
Sidewalks			
Septic Tanks			
SUBTOTAL			

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

DESCRIPTION	SUB-CONTRACTOR	ORIGINAL ESTIMATE	REVISED ESTIMATE
CONCRETE WORK			
Concrete Formwork			
Concrete Reinforcement			
Cast-in-place			
Foundations			
Concrete Slabs			
Driveway, Walks, Steps			
Patios			
Precast Concrete			
Light weight concrete			
SUBTOTAL			
MASONRY			
Chimneys, Fireplaces			
Fireplace Faces			
Veneer			
Decorator Walls			
Unit Masonry			
Stone			
Marble Cultured			
SUBTOTAL			
METAL WORK			
Structural Steel			
Open-Web Joists			
Metal Decking			
Light Gauge Framing			
Ornamental Iron			
Rough Hardware			
Metal Fireplaces			
Gutters & Spouts			
Flashing			
Miscellaneous Steel			
Sheetmetal			
Metal Stairs			
SUBTOTAL			

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

DESCRIPTION	SUB-CONTRACTOR	ORIGINAL ESTIMATE	REVISED ESTIMATE
CARPENTRY			
Rough Lumber			
Rough Carpentry Labor			
Under-layment			
Glue-Laminate Wood			
Custom Woodwork			
Mill Work			
Trusses			
SUBTOTAL			
WATERPROOFING			
Waterproofing			
Damp-proofing			
Building Insulation			
Shingle & Roof Tile			
Preformed Roofing & Siding			
Roofing Composition			
Membrane Roofing			
Sheet Metal Work			
Wall Flashing			
Roof Accessories			
Hot Mopping			
Caulking & Sealant			
Roofing Shake			
Roofing Built-up			
SUBTOTAL			

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

DESCRIPTION	SUB-CONTRACTOR	ORIGINAL ESTIMATE	REVISED ESTIMATE
DOORS, WINDOWS, GLASS			
Windows-Patio Doors			
Wood doors			
Metal Windows			
Wood Windows			
Aluminum Windows			
Window Breakage			
Finish Hardware			
Weather Stripping			
Glass & Glazing			
Curtainwall System			
SUBTOTAL			
FINISHES			
Lath & Plastering			
Gypsum Drywall			
Tile Work			
Acoustic Treatment			
Wood Flooring			
Resilient Floor			
Painting, Staining			
Ceramic Tile			
Floor Covering			
Wall Covering			
Stucco & Plastering			
Ceiling Luminous			
Entry Ceramic			
SUBTOTAL			

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

DESCRIPTION	SUB-CONTRACTOR	ORIGINAL ESTIMATE	REVISED ESTIMATE
SPECIALTIES			
Stairs – Rails			
Drapes & Shades			
Firefighting Devices			
Weather Stripping			
Toilet & Bath Accessories			
Shower Door Enclosures			
Bathtub, Shower			
Formica			
Smoke Detectors			
SUBTOTAL			
EQUIPMENT			
Appliances			
Solar System			
Garage Door Openers			
SUBTOTAL			
FURNISHINGS			
Model Furniture			
Mirrors			
Wardrobe Doors			
Blinds & Shades			
Cabinet & Fixtures			
Counter Tops			
Carpets & Mats			
Tenant Improvements			
Model Homes			
SUBTOTAL			

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

DESCRIPTION	SUB-CONTRACTOR	ORIGINAL ESTIMATE	REVISED ESTIMATE
SPECIAL CONSTRUCTION			
Decks			
Incinerators			
Swimming Pool			
Sauna, Hot Tub			
Carport			
SUBTOTAL			
CONVEYING SYSTEM			
Elevators – Trams			
Dumb Waiter			
Clothes Chutes			
Moving Stair & Walk			
SUBTOTAL			
MECHANICAL			
Wet Bars			
Plumbing System			
Roof Drainage			
Plumbing Fixtures & Trim			
Fire Extinguishing System			
Heat-Air Conditioning			
SUBTOTAL			
ELECTRICAL			
Electrical-Rough & Finish			
Electrical Service System			
Electrical Distribution Syst			
Lighting Fixtures			
Intercom, Stereo, TV			
High speed Internet			
Alarm System			
Vacuum System			
Electrical Power Equipment			
SUBTOTAL			

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

DESCRIPTION	SUBCONTRACTOR	ORIGINAL ESTIMATE	REVISED ESTIMATE
OWNER EXPENDITURES			
Add Cost/Equity			
Promo-Marketing			
Sewer Connection Fee			
Water Connection Fee			
Water Meters			
Utilities Fees			
Termite Treatment			
SUBTOTAL			
FINANCING & DEVELOPMENT COSTS			
Building Permits & Licenses			
Legal Costs			
Architectural, Engineering			
Architectural, Landscape			
Surveys, Tests & Soils Report			
Insurance Bonds, Control			
Loan Fees			
Title Insurance (LP 10) (102.4)			
Land Acquisition			
General Admin Overhead			
Contingency (Soft Cost)			
Taxes			
Insurance Liability & Workers Comp			
Insurance, Fire			
Excess Loan Funds			
Inspection Cost			
Engineering			
Owners Funds			
SUBTOTAL			

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Dear Owner,

My name is _____ and I am interested in purchasing your property. My wife and I recently had our second daughter (about two weeks ago). As you can image we are beginning to outgrow our current Green Lake two-bedroom, two-baths home and the provider in me has kicked into high gear. We would love to stay in the Green Lake area if at all possible which is why you are receiving this letter. If you are even remotely considering selling in the next few years, I would appreciate the opportunity to sit down with you and discuss your home and your neighborhood.

I am not a real estate agent looking to list your home however I am a real estate investor who is looking for investment properties as well as a new residence. Somewhat ironic isn't it. So whether your home is perfect for us to live in or perfect for our investment portfolio in some way I think our needs can be a match. If your house meets our investment criteria we specialize in creating terms that work for both of us long term or short term. You don't need to have the general public traipsing through your home inconveniencing you to sell your home. All conversations would be discreet and confidential.

I look forward to your phone call,

Dear Property Owner:

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

It's been the perfect storm hasn't it. Rising values, record low interest rates and low capitalization rates. It all lines up to equal great values. It doesn't get much better than that. However, interest rates are likely on the rise and with the impending election there are a great many variables that may dampen our beloved real estate bull market. My question to you is, are you planning on riding this wave through the next cycle and into the next peak or is now a fantastic opportunity to sell.

If you are even remotely intrigued by the idea of selling I would appreciate it if you called me first. I would love the opportunity to discuss the purchase your property. I can assure you that all conversations would be professional and confidential. I am not a real estate agent looking to list your property; I simply want to purchase your building.

I look forward to working with you to create a relationship and transaction that meets your needs. Thank you for your time and consideration.

Sincerely;

Dear Property Owner:

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

With interest rates still low and vacancy rates still high are you getting tired of trying to find quality tenants? Has your rent roll inched lower and lower in an attempt to keep your building full? Has skyrocketing real estate values made you think this might be the perfect time to sell?

If you are even remotely intrigued by the idea of selling I would appreciate it if you called me first. I would love the opportunity to discuss the purchase your property. I can assure you that all conversations would be professional and confidential. I am not looking to list your property; I simply would like the opportunity to purchase your building(s).

I promise to not take your time for granted. The last building I purchased I paid the full asking price, no tricks, no gimmicks, and no games. I look forward to working with you to create a relationship and transaction that meets your needs. Thank you for your time and consideration.

Sincerely;

Dear Owner,

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Like you, my husband and I are Kirkland residents. We have lived here for many years in one of the original Kirkland bungalows. When our second child was born, we started thinking that we would need to find a new home. Now that she's gotten bigger, we need to do just that.

Our lives are rooted in this community. My husband teaches 6th grade at a local school. Our older child goes to XXXXXX Elementary and I own a business here in Kirkland so we feel strongly that we would like to remain in the neighborhood but need to find a somewhat larger home. We are interested in the property that you own. We promise not to waste your time. We are serious, qualified buyers. We would potentially like to make you an offer if you are interested in selling. Our conversation would be confidential and we can provide references upon request.

Thank you for taking the time to consider our request. Please call us anytime at XXX-XXXX. If we are not available, please leave a message and one of us will get right back to you.

Sincerely,

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Dear Owner,

Yes, it's another letter from me and yes, I am persistent. You own a property in one of the premier locations in Seattle and that's why you keep hearing from me. I'm interested in making an offer on your property if you are considering selling it. This is not a solicitation for a listing, but an inquiry by an able investor into the availability of your well-located property.

For 20 years I have been involved in the business of real estate development, construction, and property management. In the past, I have taught classes in real estate acquisition and finance at Seattle Pacific University. On the back of this letter is a sampling of some of the properties I have purchased over the years.

I recently drove by your property and previewed it from the outside and am interested in making an offer. From the outside your property seems to fit my investment criteria and it is an area I am interested in further investing. I am a very serious, qualified buyer. I would be making an all-cash offer, unless other terms are determined to be more mutually beneficial, and there would be no selling commissions due.

If you are interested in discussing this with me further, please contact me at xxx-xxx-xxxx. If now is not the right time for you to sell, give me a call when the time is more convenient or fill out and return the enclosed information sheet. Thank you for taking the time to read this letter seriously.

Very Truly,

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Dear Owner,

Our names are Greg and Shauna Pinneo. For twenty-five years, we have been active Seattle area real estate investors. There is nothing more romantic than _____. We really enjoy spending time in the area, and it is our current focus area for investment. Consequently, we are very interested in the property that you own in this location.

There's no doubt you have received many letters over the years expressing an interest in your property. We promise you that we are serious investors. We are not real estate brokers looking for a listing. Simply put, we would like to make you an offer to purchase your property if you are considering selling at this time. Our conversation will be kept confidential. If now is not the right timing for you, we would appreciate you keeping our number to give us a call in the future, when the time is right. References toward our business, credit, education and character can be given upon request. We pledge not to waste your time, and whether we actually do business together or not, that your experience with us will be a positive one.

Please call us anytime at xxx-xxx-xxxx. Please leave a message if we are not in and we will get right back to you. Thank you in advance for your consideration.

Most Sincerely,

Greg and Shauna Pinneo

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)

Assignment of Purchase Agreement

_____hereby assign to _____their contractual rights regarding purchase and sale agreement dated 6/11/04 between _____ (seller) and _____ (buyer) concerning property commonly known as 3225 _____. Purchase and sale agreement is attached hereto and needs to be executed with the terms and conditions set forth there in.

_____ have agreed to pay directly to _____ the sum of $10,000.00 (Ten Thousand Dollars and no cents) upon signing this agreement in exchange for the rights as buyer in referenced contract to purchase. _____ will stay with the transaction as consultant to insure that closing happens smoothly and problem free for all parties on scheduled closing date.

All parties agree to the assignment terms set forth herein.

_____ Assignor
Your Name Here Date:

_____ Assignor
Spouses Name Here Date:

_____ Assignee
Assignees Name Here Date:

© 2007, 2009 Reach Returns, Inc. All Rights Reserved (Ver.1.1)